



Collection



Parcels



Express



Mail



Stationery



Kitchen

Franchise Agreement

Territory: Homebush (NSW)

Mail Plus Pty Ltd

ACN 609 801 194

and

Parveen Pty Ltd

ACN 661 486 778

and

Justin Haider

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Franchise Agreement

Date

1/8/2023 | 3:13 PM PDT
2023

Parties

1. **Mail Plus Pty Ltd ACN 609 801 194** of Suite 51, Level 45 680 George Street, Sydney NSW 2000 (**Mail Plus**)
2. The party named in Item 1 as the Franchisee (**Franchisee**)
3. The parties named in Item 2 as the Guarantors (**Guarantors**)

Background

- A. Mail Plus has reviewed the Franchisee's application for a Franchised Business and according to the information disclosed in the Franchisee's application, Mail Plus has decided to grant the Franchisee a Franchised Business in the Territory for the Term on the terms of this Agreement.
- B. The Franchisee agrees to operate the Franchised Business strictly according to the terms of this Agreement.
- C. The Franchisee acknowledges that it is essential to the maintenance of the high standards which the public has come to expect from businesses operated as part of the System and the preservation of the goodwill of the System that all franchisees adhere to the Law and to certain uniform standards procedures and policies detailed in this Agreement and in the Manual to Mail Plus's satisfaction.
- D. The Franchisee has nominated the Manager as the person responsible for the management, control and conduct of the Franchised Business in accordance with the terms and conditions of this Agreement.

Agreed terms

1. Definitions and interpretation

1.1 Definitions

In this Agreement:

Agreement means this franchise agreement, including the background, schedules and annexures;

Another Franchise means another franchise system including a similar franchise system and business to that of the System and Franchised Business which is operated in Australia by Mail Plus or it's Associates;

Approved Goods and Services means the goods and services approved in writing by Mail Plus and/or set out in the Manual as amended by Mail Plus from time to time and includes the New Goods and Services introduced by Mail Plus from time to time unless stated otherwise;

Approved Supplier means a supplier approved in writing by Mail Plus and/or set out in the Manual as amended by Mail Plus from time to time;

Associates mean the related bodies corporate (as defined in the Corporations Act) and the shareholders and directors of a person or company;

Business Assets means the assets required by Mail Plus for the operation of the Franchised Business or used by the Franchisee in connection with the Franchised Business;

Business Day means a day that is not a Saturday, Sunday, or public holiday in Sydney, New South Wales;

CASSY means the Central Administration Support System the operations of which are detailed in the Manual;

Client Contract means an agreement for the supply of Approved Goods or Services to a Client;

Client means a person to whom the Franchisee supplies or offers to supply Approved Goods and Services;

Client Fee means an amount that is equivalent to the gross sales invoiced to that Client(s) less the Franchise Service Fee paid under the relevant invoice or such other formula as determined by Mail Plus and set out in the Manual from time to time;

Client Location means the primary physical place of business of the Client (if the Client operates a business) or the primary place where the Client resides;

Code means the *Competition and Consumer (Industry Codes – Franchising) Regulations 2021 (Cth)* or any modification thereof that is prescribed as a mandatory code governing franchise agreements under section 51AE of the *Competition and Consumer Act 2010 (Cth)*;

Commencement Date means the date in Item 8 of the Schedule;

Competing Business means any business, which has as its principal activity as the delivery of mail to Clients from their post office boxes or other fixed locations or deliveries between Clients, businesses, groups or organisations;

Confidential Information means all information of a confidential nature, which Mail Plus has or will provide to the Franchisee, for the purpose of operating the Franchised Business, including but not limited to this Agreement, Disclosure Document, Manual, training materials, details of trade names, Trade Marks, Intellectual Property, know-how, techniques, trade secrets, procedures, methods, systems, software, business and marketing plans, arrangements and agreements with third parties, Client information, lists, formula, designs, plans, specifications, models and concepts both in written and non-written form, information relating to the operation of the Franchised Business, the System, the Approved Goods and Services, the Business Assets, suppliers and pricing arrangements and all other information regarding the Franchised business but excludes information which:

- (a) comes into the public domain; or
- (b) is independently acquired by a party,

otherwise than by a breach of this Agreement;

Controller means:

- (a) a receiver, receiver and manager, administrator or liquidator (whether provisional or otherwise) of that person or that person's property; or
- (b) anyone else who (whether or not as agent for the person) is in possession, or has control, of that person's property to enforce an Encumbrance;

Corporations Act means the *Corporations Act 2001 (Cth)*;

Encumbrance means:

- (a) an interest or power reserved in or over an interest in an asset, including any retention of title;
- (b) an interest or power created or arising in or over an interest in an asset under a bill of sale, mortgage, charge, lien, pledge, trust or other similar instrument, device or power; or
- (c) any other adverse right, title or interest of any nature, by way of Security for the payment of a debt or the performance of any other obligation,

and includes any agreement or arrangement (whether legally binding or not) to grant or create any of the above;

Expiry Date means the date in Item 9 of the Schedule;

Force Majeure Event means any act, event or cause, other than a lack of funds:

- (a) as a direct or indirect result of which, the party relying on it is prevented from or delayed in performing any of its obligations under this Agreement; and
- (b) that is beyond the reasonable control of that party;

Franchised Business means the business of offering the Approved Goods and Services to Clients in accordance with this Agreement;

Government Agency means any government or any public, statutory, governmental (including a local government), semi-governmental, local governmental or judicial body, entity, department or authority and includes any self-regulatory organisation established under statute;

Hourly Rates means the rates set out in Item 14 as amended by Mail Plus from time to time;

Image means the distinctive image, visual appearance, reputation and presentation of Mail Plus, the Trade Marks, the Business Assets, the Vehicle and the Franchised Business, logos, slogans associated with the Approved Goods and Services of the System and including the design, layout, colour and other elements of the System as specified in the Manual and portrayed in advertising, marketing and promotional materials;

Insolvency Event means any one or more of the following events or circumstances:

- (a) being in liquidation or provisional liquidation or under administration;
- (b) having a Controller or analogous person appointed to it or any of its property;
- (c) being taken under section 459F(1) of the Corporations Act to have failed to comply with a statutory demand;
- (d) being unable to pay its debts or being otherwise insolvent;
- (e) becoming an insolvent under administration, as defined in section 9 of the Corporations Act;
- (f) entering into a compromise or arrangement with, or assignment for the benefit of, any of its members or creditors;
- (g) any analogous event or circumstance under the laws of any jurisdiction; or
- (h) taking any step or being the subject of any action that is reasonably likely to result in any of the above occurring,

unless such event or circumstance occurs as part of a solvent reconstruction, amalgamation, compromise, arrangement, merger or consolidation approved by Mail Plus;

Insurance Requirements means the minimum insurance the Franchisee will obtain to cover the risks set out in Item 21 of the Schedule;

Intellectual Property includes:

- (a) any intellectual property that before, during or after this Franchised Business is owned, licensed or used by Mail Plus or its Associates;
- (b) intellectual property that forms part of the System or the Image;
- (c) the Trade Marks;
- (d) the intellectual property that Mail Plus or its Associates license or allow the Franchisee to use in connection with the Franchised Business;

Interest means the interest rate in Item 18;

Item means an item in the Schedule;

Law means:

- (a) principles of law or equity established by decisions of courts;
- (b) statutes, regulations or by-laws of the Commonwealth, a State, a Territory or a Government Agency;
- (c) road safety rules and regulations; and

- (d) requirements and approvals (including conditions) of the Commonwealth, a State, a Territory or a Government Agency that have the force of law;

Manager means the person in Item 3 or any replacement manager approved by Mail Plus from time to time in accordance with this Agreement;

New Goods and Services means such new goods and services as Mail Plus determines it shall offer from time to time as Approved Goods and Services, which as at the date of this Agreement, this includes products supplied through Pack & Send, Office Brands, Australia Post, Toll, Couriers Please, T&T and DHL, this list may be amended by Mail Plus in its sole discretion from time to time;

Manual means the Manual provided to the Franchisee by Mail Plus as amended by Mail Plus from time to time;

Permitted Securities means the permitted securities in Item 19;

Premises means the premises in Item 6;

Records means all accounts, bank deposit forms, records of payment, invoices, order forms, disbursement inventory payroll and tax records and returns and sales records; payroll records, rosters, payslips, forms and records relating to or in connection with the Franchisee's employees, contractors or personnel; books and data (including information stored on a computer system or any other system which stores data); and any other business records or documents relating to the Franchised Business;

Renewal Fee means the renewal fee in Item 17;

Renewal Term means the period set out in Item 10;

Reports include all reports prepared and/or required in connection with this Agreement;

Restraint Area has the meaning given in clause 23.1(a)(i);

Restraint Period has the meaning given in clause 23.1(a)(ii);

Security includes bills of sale, mortgages, charges, liens and title retention arrangements;

Service Default Notice has the meaning given in clause 5.7(a);

System means the procedures and systems developed by Mail Plus or its Associates for the operation of the Franchised Business and the operation of a network of franchised businesses as described in the Manual, a component of which includes the Image and the Intellectual Property;

Term means the term in Item 7, which begins on the Commencement Date and ends on the Expiry Date subject to earlier termination in accordance with the terms of this Agreement;

Territory means the lesser of:

- (a) the geographical area described in Item 5;

- (b) the geographical area varied or split by the Franchisee in accordance with clause 5.7;
- (c) the geographical area varied or split by Mail Plus in accordance with clause 28.9(a)(ii);

Trade Marks means the trade mark registration number 1145263 below and any other trade marks or service marks developed by Mail Plus from time to time;



Transfer Fee means the transfer fee in Item 16 less the Transfer Fee Deposit;

Turnover means the aggregate of prices charged or chargeable by the Franchisee and all other income, revenue and remuneration received or receivable in connection with the Franchised Business and:

- (a) includes the proceeds of the Franchisee's business interruption insurance policy and any promotional fees, commissions or other income received from any suppliers of goods or services;
- (b) but excludes the gross amount of GST included in prices charged or chargeable;

Vehicle means the primary or replacement motor vehicle approved by Mail Plus for use in the Franchised Business; and

Workplace Laws means Australian laws relating to workplace relations including but not limited to the *Fair Work Act 2009* (Cth), *Fair Work Regulations 2009* (Cth), the *Superannuation Guarantee (Administration) Act 1992* (Cth), the *Migration Act 1958* (Cth), the *Migration Regulations 1994* (Cth), the *Independent Contractors Act 2006* (Cth), the *Work Health and Safety Act 2011* (Cth), the *Work Health and Safety Regulations 2011* (Cth), the *Occupational Health and Safety Act 2004* (Vic), the *Occupational Health and Safety Regulations 2017* (Vic), the *Work Health and Safety Act 2011* (NSW), the *Work Health and Safety Regulations 2017* (NSW) and any other statute, regulation or by-law of the Commonwealth of Australia, or any State or Territory of the Commonwealth of Australia or a Government Agency from time to time that relates to the rights and responsibilities of, or the relationships between, workers and the person or entity that employs or engages them (including with respect to occupational health and safety matters), as amended from time to time, and any directions or notices issued by the Fair Work Ombudsman.

1.2 Interpretation

In this Agreement, unless the context requires otherwise:

- (a) the singular includes the plural and vice versa;
- (b) a gender includes the other genders;
- (c) the headings are used for convenience only and do not affect the interpretation of this Agreement;
- (d) other grammatical forms of defined words or expressions have corresponding meanings;
- (e) a reference to a document includes the document as modified from time to time and any document replacing it;
- (f) if something is to be or may be done on a day that is not a Business Day then it must be done on the next Business Day;
- (g) the word "person" includes a natural person and any body or entity whether incorporated or not;
- (h) the word "month" means calendar month and the word "year" means 12 months;
- (i) the words "in writing" include any communication sent by letter, facsimile transmission or email or any other form of communication capable of being read by the recipient;
- (j) a reference to a thing includes a part of that thing;
- (k) a reference to all or any part of a statute, rule, regulation or ordinance (**statute**) includes that statute as amended, consolidated, re-enacted or replaced from time to time;
- (l) wherever "include" or any form of that word is used, it must be construed as if it were followed by "(without being limited to)";
- (m) money amounts are stated in Australian currency unless otherwise specified; and
- (n) a reference to any agency or body, if that agency or body ceases to exist or is reconstituted, renamed or replaced or has its powers or functions removed (**defunct body**), means the agency or body which performs most closely the functions of the defunct body; and
- (o) any special conditions in Item 23 override the body of this Agreement to the extent of any inconsistency with this Agreement.

2. Grant of franchise

Mail Plus grants to the Franchisee for the Term:

- (a) an exclusive right to establish and operate a Franchised Business in the Territory under the business name described in Item 4 (**Business Name**); and

- (b) a non-exclusive right to use the System, the Image and the Intellectual Property; and
- (c) a non-exclusive right to supply the Approved Goods and Services to Clients; and
- (d) a non-exclusive right to provide Approved Goods and Services to Clients as agent for Mail Plus;

on the terms set out in this Agreement.

3. Mail Plus's obligations

3.1 Obligations prior to the Commencement Date

After the Franchisee has executed this Agreement and the right to cool off has expired, Mail Plus will, prior to the Commencement Date:

- (a) provide training to the Manager;
- (b) provide to the Franchisee the franchise package set out in Item 22; and
- (c) loan the Franchisee a copy of the current Manual.

3.2 Obligations during the Term

- (a) During the Term and while the Franchisee strictly complies with this Agreement, Mail Plus will provide to the Franchisee, to the extent that Mail Plus believes is necessary for the operation of the Franchised Business:
 - (i) ongoing training in addition the initial training contemplated in clause 3.1(a) (such training to be conducted at the Franchisee's expense);
 - (ii) technical advice and information;
 - (iii) access to CASSY (which will be operated by Mail Plus);
 - (iv) advice, information and support in relation to marketing, sales and administration as detailed in the Manual, which support will include:
 - (A) conducting such marketing, advertising, promotional and sales activities as Mail Plus sees fit; and
 - (B) maintaining a telephone number answered by trained sales staff to answer calls from prospective Clients in the Territory.

3.3 Supply Rights and Obligations

- (a) During the Term and subject to clause 28.7, Mail Plus may, but is not obliged to, provide to the Franchisee, Approved Goods and Services to be supplied to Clients on behalf of Mail Plus.

- (b) The Franchisee must not supply to Clients goods and services which are not Approved Goods and Services. The Franchisee must only supply Approved Goods and Services to Clients.
- (c) Where Mail Plus deems it appropriate to do so, Mail Plus may direct that the Franchisee purchase directly from an Approved Supplier Approved Goods and Services to be supplied to Clients. The Franchisee must not purchase Approved Goods and Services from a supplier that is not an Approved Supplier. The Franchisee may seek that a supplier be designated an Approved Supplier using the process set out in the Manual.
- (d) Temporary waivers with respect to New Goods and Services
 - (i) Mail Plus may temporarily choose not to deduct from the money to be paid to the Franchisee any amount with respect to the New Goods and Service until the relevant Customer has actually paid for the relevant New Goods and Services.
 - (ii) Mail Plus may, but is not obliged to, waive its right to receive the Franchise Service Fee in relation to the sale of New Goods and Services.
 - (iii) If Mail Plus seeks to offer Franchisees a temporary waiver under this clause it will do so by advising the Franchisee of the arrangement in writing.
 - (iv) Mail Plus may cease any temporary waivers given under this clause by giving the Franchisee written advice 7 days before the temporary waiver ceases to apply.
- (e) The Franchisee acknowledges that Mail Plus do and are entitled to receive a financial benefit from Approved Suppliers and from the supply of Approved Goods and Services (including for New Goods and Services).

4. CASSY

4.1 Compulsory services

Mail Plus will:

- (a) create and operate Client accounts based on the information supplied to Mail Plus by the Franchisee;
- (b) issue to Clients at regular accounting intervals (which Mail Plus determine appropriate in its discretion) invoices and/or statements;
- (c) collect monies from Clients;
- (d) pay the Franchisee for Approved Goods and Services which are provided to Clients on behalf of and as agent for Mail Plus; and
- (e) separately account to the Franchisee for its billable activities.

4.2 Optional services

The Franchisee irrevocably authorises Mail Plus to (if Mail Plus chooses to do so):

- (a) be the only entity that is legally authorised to accept any payment from a Client;
- (b) make due and/or authorised payments;
- (c) purchase goods and services;
- (d) file returns or other items of information required by Law or by any Government Agency; and
- (e) provide any other business or administrative service,

required for or applicable to the operation of the Franchised Business as may be agreed between the Franchisee and Mail Plus.

4.3 Mail Plus will receive all payments from Clients

Clients will be directed to pay to Mail Plus all monies payable in respect of the Approved Goods and Services provided to Clients in the Franchised Business.

4.4 Payments made to Franchisee in error

If a Client pays any monies to the Franchisee directly, the Franchisee will immediately and without any deduction forward to Mail Plus all and any of that money.

4.5 Payments by Mail Plus to Franchisee

Subject to clause 40.21, Mail Plus will remit the balance to the Franchisee from monies Mail Plus collects from Clients in an agreed timeframe.

4.6 Collection activities

Mail Plus will use its best endeavours to ensure that payments by Clients are collected in a timely fashion. The Franchisee acknowledges that overdue accounts are ultimately the Franchisee's responsibility and the Franchisee shall co-operate with Mail Plus in attempting to collect the debts of Clients. Mail Plus is not liable to the Franchisee for any debt it fails to collect.

5. Franchisee's obligations

5.1 Franchisee's Obligations prior to the Commencement Date

Prior to the Commencement Date the Franchisee will:

- (a) obtain a Vehicle which Mail Plus believes, in its discretion, is suitable for use in the Franchised Business and meets the standards set out in the Manual and maintain that Vehicle in accordance with clause 5.3;

- (b) obtain suitable Business Assets required to operate the Franchised Business;
- (c) obtain, from Mail Plus or an Approved Supplier, a full and appropriate uniform for each Manager, employee and/or contractor that will interact with Clients during the operation of the Franchised Business;
- (d) complete the training and/or have its Manager complete the training;
- (e) obtain all consents, permits and licenses required by Law for the operation of the Franchised Business; and
- (f) conduct a thorough due diligence and make reasonable efforts to obtain information regarding its legal obligations with respect to the operation of the Franchised Business.

5.2 Franchisee's obligations during the Term

During the Term the Franchisee will:

- (a) act in good faith, loyally and utmost honesty towards Mail Plus and its Associates;
- (b) operate the Franchised Business in a professional manner in compliance with the System and in accordance with good business practice and the Manual, subject to its overriding obligation to operate the Franchised Business in compliance with the Law including, for the avoidance of doubt, Workplace Laws;
- (c) deliver and provide the Approved Goods and Services to Clients:
 - (i) as part of its operation of the Franchised Business; and
 - (ii) when directed to do so, in its capacity as agent for Mail Plus and in accordance with any directions given by Mail Plus in its discretion from time to time;
- (d) use its best efforts to market for and source potential Clients in the Territory, increase the number of Clients of the Franchised Business and increase the amount of and value of Approved Goods and Services provided to those Clients;
- (e) not seek, deliver or provide goods and services to Clients or in the operation of the Franchised Business which are not Approved Goods and Services, even if those goods and services are similar to the Approved Goods and Services;
- (f) respond promptly to enquiries from Clients or potential Clients in the Territory and promptly refer to Mail Plus any enquiries from Clients or potential Clients who have their Client Location outside of the Territory;
- (g) refer promptly to Mail Plus any enquiries from potential suppliers or potential franchisees;
- (h) maintain all consents, permits and licenses required to operate the Franchised Business and comply with all applicable Laws;

- (i) ensure payment and provision of all entitlements, wages and all other employment related costs payable to or in connection with the Licensee's employees or personnel pursuant to applicable Workplace Laws, and retain adequate records of any such payments or deductions as required under Workplace Laws;
- (j) if the Franchisee becomes aware of any potential, actual or alleged breach of Workplace Laws by the Franchisee (including notification by an employee, the Fair Work Ombudsman, the media, or any other person), the Franchisee must:
 - i. notify Mail Plus immediately;
 - ii. promptly review and investigate any such potential, actual or alleged breach and rectify without delay any non-compliance with any Workplace Laws (including making any back payment to employees, contractors or personnel where necessary); and
 - iii. provide evidence of rectification of any breach to Mail Plus, including a recertification of compliance with Workplace Laws within 14 days of completion of all rectification actions.
- (k) comply with the Law, including with respect to any Workplace Laws as amended from time to time. To assist Mail Plus to monitor the Franchisee's compliance with the Law, the Franchisee agrees to:
 - (i) strictly comply with the terms and conditions of any Modern Award or enterprise agreement that applies to and covers their employees, contractors and personnel; and
 - (ii) maintain time and wage records that are an accurate reflection of the actual hours worked and the times worked by all employees, contractors and personnel; and
 - (iii) supply to all employees pay slips which are true and accurate and which are in accordance with the requisite Modern Award or enterprise agreement; and
 - (iv) certify:
 - (A) within 4 months of the end of the financial year; and
 - (B) within 14 days of a request by Mail Plus, which request may not be made more than twice each year; or
 - (C) within 14 days as set out in clause 5.2(i)(iii),

that all employees have been paid in accordance with their entitlements under the requisite Modern Award or enterprise agreement and that the time and wage records are an accurate record of all time worked; and
 - (v) have time and wage records of all employees available for review on 3 working days' notice; and

- (vi) maintain and keep time and wage records for six (6) years from the date of creation; and
 - iv. require of any contractors retained by the Franchisee to driver Vehicles or interact with Clients as part of the Business comply with subclauses 5.2(j)(i) to 5.2(j)(vi) of this Agreement in the Franchisee's terms of engagement with each contractor;
- (l) not promote, offer to sell or supply or sell or supply any goods and services that are not Approved Goods and Services;
- (m) not promote, offer to sell or supply or sell or supply any goods and services that have not been acquired from Mail Plus or an Approved Supplier (even if those goods or services are Approved Goods and Services);
- (n) promptly record and report to Mail Plus details of Client complaints and any accidents or injuries to any person or property in connection with the Franchised Business;
- (o) adopt a service schedule for the supply of Approved Goods and Services to Clients in accordance with the Manual and Client requests;
- (p) identify the business only using the Business Name;
- (q) not hold itself out as being an employee, contractor or Associate of Mail Plus or its Associates;
- (r) only hold itself out as being an agent of Mail Plus or its Associates with respect to the limited agency granted under this Agreement and not otherwise hold itself out as being an agent of Mail Plus or its Associates;
- (s) devote, or cause its employees or contractors to devote, sufficient time to properly operate the Franchised Business and service Clients and potential Clients in the Territory;
- (t) devote its exclusive efforts to the operation of the Franchised Business and the Franchisee and Manager will not without the prior written consent of Mail Plus be involved directly or indirectly in the operation of any other business other than with the express prior consent of Mail Plus, which Mail Plus may withhold in its discretion where it believes (acting reasonably) that the proposed involvement in the other business would present a conflict of interest with the Franchised Business or inhibit the ability of the Franchisee or the Manager (as applicable) to dedicate the time and resources necessary to comply with its obligations under this Agreement and maximise the performance of the Franchised Business;
- (u) conduct itself and ensure that its Associates, Manager, contractors and employees conduct themselves in a manner that enhances and promotes the Franchised Business and Mail Plus's reputation and will not knowingly or without due cause do or permit or omit to do any thing whereby the name, profits and reputation of the Franchised Business, Mail Plus or any other Mail Plus franchisee

may be diminished or their normal business operations disrupted;
and

- (v) provide to Mail Plus such information as Mail Plus require from time to time regarding the Franchised Business (including with respect to the employees, contractors or operation of the Franchised Business) and comply with the Mail Plus privacy policy and comply with such other policies and procedures as Mail Plus may develop for the System from time to time, including those set out in the Manual.

5.3 Vehicle

During the Term the Franchisee will:

- (a) keep the Vehicle in good repair, safe, clean, free of paint or panel damage, registered and in a roadworthy condition;
- (b) ensure all drivers of Vehicle are licensed to drive the Vehicle and that the drivers drive in a courteous manner;
- (c) ensure that the Vehicle is properly secured and protected when left unattended; and
- (d) update the Vehicle to a current model Vehicle approved by Mail Plus every four (4) years in accordance with the Manual.

5.4 Image

- (a) The Franchisee will present the Image (as amended by Mail Plus from time to time) in all aspects of the Franchised Business. The Franchisee acknowledges that the Image is reflected through means which include: presentation of its employees, contractors and/or agents, wearing a clean uniform that is in good condition and appropriate for the weather, the Business Assets, the Premises, stationery, signage the Vehicle and any other items used in the operation of the Franchised Business.
- (b) Mail Plus may, at reasonable intervals, require the Franchisee to alter the Vehicle to reflect the then current Image.
- (c) If Mail Plus requires the Franchisee to alter the Vehicle more than once in any 12 month period (solely) to reflect a change of the Image, Mail Plus will bear the expense of this alteration.

5.5 Client Contracts

- (a) Franchisees will ensure that all Clients enter into Client Contracts.
- (b) The Client Contracts will be prepared by Mail Plus. Mail Plus may be a party to the Client Contracts.
- (c) The Franchisee will comply with the Client Contracts.
- (d) Mail Plus may deal directly with Clients (including potential Clients) on its own behalf and on behalf of the Franchisee to negotiate and enter into Client Contracts and the Franchisee authorises and appoints Mail Plus as its agent for this purpose.

- (e) Mail Plus will immediately advise the Franchisee of any Client Contract it enters into on behalf of the Franchisee under clause 5.5(d).
- (f) If the Franchisee breaches the Client Contracts Mail Plus may perform the Client Contract on the Franchisee's behalf at the Franchisee's cost.
- (g) If the Client ends the Client Contract with the Franchisee or with Mail Plus, Mail Plus is not liable to the Franchisee for any losses incurred in connection with the supply by the Franchisee of Approved Goods or Services to the Client, except to the extent Mail Plus caused or contributed to the loss.

5.6 Supply of Approved Goods and Services

- (a) Subject to clause 5.6(i), the Franchisee will promptly supply Approved Goods and Services to all Clients where the Client Location is in the Territory, regardless of where the Approved Goods and Services are delivered to or collected from, at a price which does not exceed the maximum price set by Mail Plus from time to time.
- (b) The Franchisee will promptly supply Approved Goods and Services to each Client where Mail Plus requests the supply of Approved Goods and Services to a Client as agent for Mail Plus. Mail Plus will determine the price for which specified Approved Goods and Services are supplied where those Approved Goods and Services are supplied in the Franchisee's capacity as agent for Mail Plus.
- (c) Subject to clause 5.6(e), the Franchisee may supply Approved Goods and Services to a Client where the Client Location is outside of the Territory at a price which does not exceed the maximum price set by Mail Plus from time to time if:
 - (i) the Client Location is not in the exclusive territory of another franchisee at the time of the supply; or
 - (ii) the Client Location is in the exclusive territory of another franchisee but the Client has requested that the Franchisee supply to it the Approved Goods and Services and the Franchisee has obtained the consent of Mail Plus to do so, which consent will not be unreasonably withheld; or
 - (iii) the Client Location is in the exclusive territory of another franchisee but that franchisee has requested that the Franchisee supply the Approved Goods and Services to the Client and the Franchisee has obtained the consent of Mail Plus to do so, which consent will not be unreasonably withheld.
- (d) Mail Plus granting a new territory to franchisees:
 - (i) The Franchisee acknowledges that from time to time Mail Plus will grant new territories to franchisees.

- (ii) Mail Plus will provide to the Franchisee a list of the exclusive territories of other franchisees and this list may be amended by Mail Plus from time to time.
 - (iii) Where Mail Plus grants to a franchisee a territory in which the Client Location of a Client supplied by the Franchisee is present, Mail Plus will use reasonable endeavours to advise the Franchisee of the proposed grant 30 days prior to the grant.
 - (iv) Mail Plus will pay to the Franchisee the Client Fee in respect of then current Clients with a Client Location in the new territory being granted to the franchisee.
- (e) Mail Plus may require that supply to a Client Location outside of the Territory is conditional on the following:
 - (i) the Franchisee obtaining Mail Plus's prior written consent to the supply (which consent will not be unreasonably withheld, but which consent may be conditional and may be withdrawn upon 14 days' notice); and
 - (ii) the Franchisee paying the Client Fee or some other compensatory amount to Mail Plus or to the franchisee in whose exclusive territory the Client Location is (as the case may be).
- (f) If Mail Plus requests that it do so, the Franchisee will supply Approved Goods and Services to a Client where the Client Location is outside of the Territory at a price which does not exceed the maximum price set by Mail Plus from time to time. Mail Plus may require that the Franchisee enter into an agreement to do this with Mail Plus as a contractor to Mail Plus.
- (g) The Franchisee will immediately notify Mail Plus if the Franchisee is unable to or unwilling to supply all of the Approved Goods and Services requested by a Client in the timeframe sought by the Client.
- (h) If the Franchisee fails to or refuses to promptly supply Approved Goods and Services to a Client that has its Client Location in the Territory then Mail Plus may provide the Approved Goods and Services to the Client itself or may engage a third party (including another franchisee) to do so on its behalf.
- (i) The Franchisee may transfer to another franchisee the right to supply a Client that has its Client Location within the Territory if:
 - (i) the Franchisee obtains Mail Plus's prior written consent to the change (which consent may be conditional and may be withdrawn upon 14 days' notice); and
 - (ii) the franchisee pays the Client Fee or some other compensatory amount to the Franchisee.
- (j) The Franchisee will immediately refer to Mail Plus any enquiry from Clients at a Client Location in the exclusive territory of another franchisee.

5.7 Failure to service the Territory

- (a) If, on more than 2 occasions in a 60 day period, the Franchisee fails or refuses to supply the Approved Goods or Services to a Client where the Client Location is in the Territory in accordance with a request from Mail Plus or a Client, Mail Plus may issue a notice to the Franchisee that it has failed to adequately service the Territory (**Service Default Notice**).
- (b) Within 7 days of receiving a Service Default Notice from Mail Plus, the Franchisee and the Manager must, at the Franchisee's cost, meet Mail Plus at a time and location reasonably determined by Mail Plus, to discuss the performance of the Business.
- (c) The Franchisee must at that meeting, provide Mail Plus with a written explanation for the failure to adequately service the Territory, if requested to do so by Mail Plus.
- (d) The Franchisee must, if requested by Mail Plus, set out specific strategies or actions to be taken to address the failure which are acceptable to Mail Plus.
- (e) If the Franchisee fails to:
 - (i) attend a meeting with Mail Plus in accordance with clause 5.7(b);
 - (ii) implement any agreed strategy or action resulting from the meeting referred to in clause 5.7(d); or
 - (iii) service the Territory adequately again and Mail Plus issues another Service Default Notice on the Franchisee at any time within 3 months following the date of the initial Service Default Notice issued under clause 5.7(a),

Mail Plus may either:

- (iv) terminate this Agreement in accordance with the Code by giving the Franchisee reasonable notice of the proposed termination and the reasons for it, and in these circumstances the Franchisee and Mail Plus agree that 30 days shall be reasonable notice; or
- (v) exercise any of the alternatives to termination specified in clause 28.9.

5.8 Franchisee may subdivide Territory

- (a) The Franchisee will not make any representation to any person with respect to the subdivision of the Territory.
- (b) The Franchisee may subdivide the Territory only if it:
 - (i) requests the consent of Mail Plus in writing and Mail Plus gives its prior written consent, which consent may be conditional or withheld in the discretion of Mail Plus;

- (ii) provides evidence to the satisfaction of Mail Plus that it is viable to operate a Mail Plus Franchised Business from each part of the Territory following a subdivision; and
 - (iii) the person who is to take part of the subdivided territory is approved by Mail Plus as a franchisee and enters into Mail Plus's then current franchise agreement with Mail Plus in respect of the subdivided territory following the subdivision.
- (c) Subject to regulation 19A of the Code, the Franchisee is responsible for payment of all of Mail Plus's reasonable out of pocket expenses and costs (including our solicitor's costs) incurred in respect of the subdivision (including assessing the applicant, considering the viability of the subdivision and undertaking the above action) regardless of whether the subdivision proceeds.

5.9 Non solicitation of Clients of other franchisees

- (a) The Franchisee may market, solicit or entice Clients and potential Clients who have their Client Location in the Territory.
- (b) The Franchisee may market, solicit or entice Clients and potential Clients who have their Client Location outside the Territory only if their Client Location is not in the territory of another franchisee in the System.
- (c) The Franchisee will not interfere with, solicit or entice in any way the existing Clients or potential Clients with a Client Location in the territory of another franchisee in the System.
- (d) The Franchisee will not interfere with, solicit or entice in any way a Client that has been transferred from the Franchisee under clause 5.6(h) or clause 5.6(i).

6. Fees and payments

6.1 Payments due under this Agreement

The Franchisee will pay the following amounts to Mail Plus:

- (a) the deposit described in Item 11 (**Deposit**) on or before the signing of this Agreement;
- (b) the initial franchise fee described in Item 12 (**Initial Franchise Fee**) on the earlier of the day on which the Franchisee signs this Agreement or 14 days prior to the commencement of training; and
- (c) the training fee described in Item 15 (**Training Fee**) within 7 days of a request by Mail Plus;
- (d) the franchise service fee described in Item 13(a) (**Franchise Service Fee**) in the manner and at the interval set by Mail Plus from time to time; and
- (e) the marketing levy described in Item 13(b) (**Marketing Levy**) in the manner and at the interval set by Mail Plus from time to time; and

- (f) all other payments under this Agreement and any ancillary documents as directed by Mail Plus.

6.2 Agency payments

- (a) Mail Plus will pay the Franchisee for Approved Goods and Services that are provided by the Franchisee in its capacity as agent for Mail Plus and at the request of Mail Plus. Mail Plus will determine the amount it pays its agent for the supply of selected Approved Goods and Services from time to time in its discretion and will advise the Franchisee of changes to those amounts at least 14 days before the changes are implemented, except as provided under clause 6.2(b).
- (b) Where Mail Plus acquires the Approved Products and Services from a third party supplier who has the right to vary the prices of such Approved Products and Services on less than 14 days' notice, the period of notice required under clause 6.2(a) will be reduced to 7 days.

6.3 Payment generally

- (a) On a nominated date each month Mail Plus will generate an invoice for the preceding month and deduct from the amount on that invoice payments due by the Franchisee under this Agreement and pay to the Franchisee the balance of the amount due to the Franchisee (if any) under that invoice.
- (b) Mail Plus may require that any shortfall in payment due to it under this Agreement be paid by direct debit, electronic funds transfer or such other method as Mail Plus directs from time to time.
- (c) The Franchisee will, if Mail Plus requests, sign and deliver all documents required to set up, maintain, operate and permit automatic credits of the Franchisee's bank accounts.
- (d) The Franchisee will pay when due all costs for the Approved Goods and Services supplied to the Franchised Business and all costs of operating the Franchised Business.

6.4 Interest

- (a) Interest payable under this Agreement is calculated on the sum due from the due date for payment until it is actually paid.
- (b) Interest is to accrue on daily balances and is to be calculated on the last day of each month.
- (c) If any liability under this Agreement is included in a judgement or order, Interest is payable on that liability, with this Interest accruing from the due date of the liability both before and after the judgement or order, up to and including the date of actual payment.

6.5 Enforcement costs

- (a) Subject to regulation 19A and regulation 22 of the Code, the Franchisee will pay all reasonable costs (including legal costs) incurred by Mail Plus and/or its Associates which arise out of or in

connection with the Franchisee's, Guarantors', Managers or its Associates breach of this Agreement.

- (b) If the Franchisee, Guarantors or Manager are not complying with this Agreement and Mail Plus or its Associates or nominees conduct an inspection or audit under clause 19.3 then, subject to regulation 19A and regulation 22 of the Code the Franchisee will pay all reasonable costs incurred relating to the inspection or audit, including the reasonable costs for travel, room, board, salaries, living, vehicle use, accounting, auditing or other services in connection with any persons conducting the inspections or audits.
- (c) If Mail Plus or its Associates or nominees provide the Approved Goods and Services to Clients, Mail Plus may charge the Franchisee for doing so at the Hourly Rates.

6.6 Franchisee's costs

Anything the Franchisee, Guarantors, Managers or its Associates may do or have to do under this Agreement or any other agreement between the Franchisee, Guarantors, Manager or its Associates and Mail Plus and/or its Associates will be done at the Franchisee's own cost.

7. GST

7.1 Definitions

In this clause 7:

- (a) the expressions **Consideration**, **GST**, **Input Tax Credit**, **Recipient**, **Supply**, **Tax Invoice** and **Taxable Supply** have the meanings given to those expressions in the *A New Tax System (Goods and Services Tax) Act 1999 (GST Act)*; and
- (b) **Supplier** means any party treated by the GST Act as making a Supply under this Agreement.

7.2 Consideration is GST exclusive

Unless otherwise expressly stated, all prices or other sums payable or Consideration to be provided under or in accordance with this Agreement are exclusive of GST.

7.3 Payment of GST

- (a) If GST is imposed on any Supply made under or in accordance with this Agreement, the Recipient of the Taxable Supply must pay to the Supplier an additional amount equal to the GST payable on or for the Taxable Supply, subject to the Recipient receiving a valid Tax Invoice in respect of the Supply at or before the time of payment.
- (b) Payment of the additional amount must be made at the same time and in the same way as payment for the Taxable Supply is required to be made in accordance with this Agreement.

7.4 Reimbursement of expenses

If this Agreement requires a party (the **First Party**) to pay for, reimburse, set off or contribute to any expense, loss or outgoing (**Reimbursable Expense**) suffered or incurred by the other party (the **Other Party**), the amount required to be paid, reimbursed, set off or contributed by the First Party will be the sum of:

- (a) the amount of the Reimbursable Expense net of Input Tax Credits (if any) to which the Other Party is entitled in respect of the Reimbursable Expense (**Net Amount**); and
- (b) if the Other Party's recovery from the First Party is a Taxable Supply, any GST payable in respect of that Supply,

such that after the Other Party meets the GST liability, it retains the Net Amount.

7.5 Taxes

- (a) During the Term the Franchisee must withhold taxes and pay them to taxing authorities as required by Law.
- (b) If requested to do so by Mail Plus, the Franchisee must, within 14 days of such request, prove to Mail Plus that such taxes have been paid or dealt with as required by Law.

8. Representations

8.1 Promises

The Franchisee, Guarantors and its Associates represent and warrant to Mail Plus that at the date of this Agreement and during the Term:

- (a) they are solvent and have not been insolvent;
- (b) there are no criminal or civil proceedings pending or threatened against the Franchisee, the Guarantors or its Associates;
- (c) they are not aware of any action, proceeding or investigation of the Fair Work Ombudsman or of a Government Agency that is pending or threatened against the Franchisees, the Guarantors or its Associates;
- (d) they are not aware of any potential, actual or alleged breach of Workplace Laws by the Franchisee, the Guarantors or its Associates (including notification by an employee, the Fair Work Ombudsman, the media, or any other person), and
- (e) everything the Franchisee, Guarantors and its Associates have told Mail Plus is true and correct in every particular and no material or relevant information has been omitted.

9. Corporate Franchisee Provisions

The provisions of this clause apply only if the Franchisee is a corporation:

- (a) The Franchisee agrees that during the Term of this Agreement:
 - (i) the Franchisee's constitution will not be amended without the prior written consent of Mail Plus, which will not be unreasonably withheld, except for amendments to increase the authorised capital or to effect a change of name;
 - (ii) the Franchisee's name will not include the Business Name or any word or combination of words substantially identical with or deceptively similar to the Business Name; and
 - (iii) the Franchisee's constitution will provide that the Guarantors will be and remain the Franchisee's governing director and that no meeting of the Franchisee's shareholders or directors will be validly convened and able to decide or act upon the Franchisee's affairs unless the governing director is present.
- (b) It is a material breach of this Agreement if, at any time during the Term, circumstances occur from which it might reasonably be inferred that the Guarantors are not, or have suffered any loss of or diminution, in control of the Franchisee.
- (c) The Franchisee and Guarantors warrant that they will not, during the Term, allow:
 - (i) any change to the beneficial ownership of the Franchisee's shares; or
 - (ii) any of the Franchisee's shares to be Encumbered,

without the prior written consent of Mail Plus, which may be withheld in its discretion.

10. Trustee Franchisee Provisions

10.1 Capacity

If the Franchisee enters into this Agreement in the capacity as trustee (**Trustee**) of any trust (**Trust**) under any trust deed, deed of settlement or other instrument (**Trust Deed**), and whether or not the other parties have notice of the Trust, then the Trustee enters into this Agreement both as trustee of the Trust and in its personal capacity.

10.2 Trustee's warranties

The Trustee represents and warrants that:

- (a) the Trustee has power under the Trust Deed and, in the case of a corporation, under its constitution, to enter into and execute this Agreement and to perform the obligations imposed under this Agreement as trustee;
- (b) all necessary resolutions have been passed as required by the Trust Deed and, in the case of a corporate Trustee, by its constitution, in order to make this Agreement fully binding on the Trustee;
- (c) the execution of this Agreement is for the benefit of the Trust;

- (d) the Trustee is not in default under the Trust Deed;
- (e) there is not now, and the Trustee will not do anything by virtue of which there will be in the future, any restriction or limitation on the right of the Trustee to be indemnified out of the assets of the Trust; and
- (f) there is no material fact or circumstance relating to the assets, matters or affairs of the Trust that might, if disclosed, be expected to affect the decision of the other parties, acting reasonably, to enter into this Agreement.

10.3 Change of trustee

No change of Trustee can occur without the prior written consent of Mail Plus, which consent will not be unreasonably withheld.

11. Partnership Franchisee Provisions

If the Franchisee is a partnership, the Franchisee agrees that during the term of this Agreement:

- (a) the membership of the partnership will not be altered without the prior written consent of Mail Plus, which will not be unreasonably withheld; and
- (b) the partnership will not be terminated or dissolved without the prior written consent of Mail Plus.

12. Training

12.1 Training and Meetings

- (a) The Franchisee, Manager and all employees and contractors in the Franchised Business will undergo and complete to the satisfaction of Mail Plus such training as Mail Plus determine is necessary from time to time.
- (b) The Franchisee, Manager and all employees and contractors in the Franchised Business will attend such meetings as Mail Plus determine is necessary from time to time.
- (c) The training and meetings may be held at the times and places reasonably decided by Mail Plus.
 - (i) Meetings between representatives of Mail Plus and of the Franchisee to review the operation of the Franchised Business will occur not more than 4 times each year.
 - (ii) Meetings between representatives of Mail Plus and of the Franchisee (and other franchisees) to review the operation of the System will occur not more than 3 times each year.
- (d) If training is not completed to the satisfaction of Mail Plus, Mail Plus may, in its discretion, require further training to be completed or terminate this Agreement. If this Agreement is terminated prior to

the Commencement Date a refund may be given to the Franchisee in accordance with clause 29(b).

- (e) The Franchisee is responsible for the Franchisees, its Associates, the Managers, employees, contractors and/or representatives' expenses associated with attending training, further training or meetings as required by Mail Plus.

13. Employees, Contractors and Manager

13.1 Manager

- (a) Prior to the Commencement Date the Franchisee will appoint a Manager approved by Mail Plus, which approval may be conditional or withheld in its discretion.
- (b) The Franchisee may change the Manager from time to time provided that it first obtains Mail Plus's consent to the change and provides to Mail Plus any assurances Mail Plus seeks to make a decision regarding the change.
- (c) The Manager is responsible for liaising with Mail Plus in relation to the Franchised Business and has authority to bind the Franchisee in dealings with Mail Plus, as if the Manager were the Franchisee.
- (d) The Manager may also do anything a receiver, manager or controller properly appointed under the Corporations Act could do.
- (e) Unless Mail Plus agrees otherwise with the Franchisee, the Manager will be engaged on a full-time basis in the promotion and operation of the Franchised Business.
- (f) Mail Plus may require that the Manager be removed if the Manager engages in conduct which, if engaged in by the Franchisee, would be a breach of this Agreement.
- (g) If the Franchisee fails to remedy a breach within 30 days of Mail Plus notifying the Franchisee in writing of a breach or fails to remedy a breach in accordance with a breach notice then Mail Plus may elect to replace the Manager with a Manager that it chooses (which Manager may be an Associate of Mail Plus).
- (h) Subject to regulation 19A and regulation 22, the Franchisee is liable for the conduct, fees and costs of and incurred by the Manager. Mail Plus can require that the Franchisee pay such fees and costs before they are incurred or such later date as the parties agree.

13.2 Duties to employees and contractors

The Franchisee will:

- (a) pay its directors, employees and contractors as required by Law and any Workplace Laws, and comply with all Laws including any Workplace Laws that apply in connection with the employment, working conditions, entitlements, payment, record keeping and termination of employees, contractors and personnel of the Franchised Business;

- (b) employ a sufficient number of employees and/or contractors to operate the Franchised Business (at its cost);
- (c) not employ any person who does not have a legal right to work in Australia (including a right under an appropriate and verified visa);
- (d) not employ and/or contract with any person who does not meet the guidelines set out in the Manual or whom Mail Plus considers in its discretion to be unsuitable;
- (e) cease to employ and/or contract with any person who does not continue to meet the guidelines set out in the Manual or whom Mail Plus reasonably advises is no longer suitable to continue working in or for the Franchised Business;
- (f) subject to this clause 13.2 and subject to its obligation to comply with the Law, be responsible for employees, contractors and/or personnel and hire, train, monitor, supervise, discipline and terminate employees and/or contractors of the Franchised Business;
- (g) provide a safe working environment and handle employee, contractor and personnel Records and information as required by Law, including any Workplace Law;
- (h) pay employees, contractors and personnel all amounts and provide all benefits and entitlements required by Law and as required under any Workplace Law, Modern Award and any agreement entered into with the employee, contractor and/or personnel (to the extent that agreement complies with the Law);
- (i) be responsible and liable for any act or omission (including negligence and fraud) of any of the employees and/or contractors of the Franchised Business; and
- (j) immediately make good any loss suffered by any third party including any Client by reason of any act or omission (including the neglect and/or fraud) of employees and/or contractors of the Franchised Business.

14. Holidays and absences

- (a) During the Term the Franchisee will:
 - (i) ensure that a sufficient number of properly trained personnel at all times devote sufficient time to operate the Franchised Business, service the Territory and supply the Approved Goods and Services to Clients required by this Agreement;
 - (ii) ensure there is no disruption or failure in the supply of the Approved Goods and Services and maintenance of the Territory and Client service; and
 - (iii) liaise professionally with Mail Plus in relation to holidays or other absences from the Franchised Business in accordance with the guidelines prescribed by the Manual.
- (b) Mail Plus may, but is not obliged to, assist the Franchisee to locate and train suitable replacement personnel at the Franchisee's cost.

The Franchisee acknowledges that Mail Plus may provide this service at their Hourly Rates.

15. Manuals

- (a) Mail Plus will loan to the Franchisee the Manual.
- (b) The Franchisee will comply with the Manual.
- (c) Mail Plus may, by not less than 14 days' written notice to the Franchisee, amend the Manual from time to time when reasonably required and will notify the Franchisee of any amendment. The Franchisee will comply with any such amendment within the time for compliance set out in the notice of the amendment.
- (d) If there is a conflict between the Manual in the Franchisee's control and the Manual kept by Mail Plus, the latter prevails.
- (e) The Franchisee may only disclose the content of the Manual to its employees, contractors, agents or representatives insofar as such disclosure is necessary for the efficient operation of the Franchised Business and in circumstances where those persons agree to maintain the confidentiality of the Manual.
- (f) In the case of a conflict between the Manual and this Agreement, the terms of this Agreement prevail.
- (g) To the extent that such directions do not conflict with this Agreement or the Manual, the Franchisee will comply with any reasonable direction given by Mail Plus.

16. Suppliers, goods and services

16.1 Supply of Approved Goods and Services

The Franchisee will:

- (a) offer to supply and supply the range of Approved Goods and Services that Mail Plus require; and
- (b) not offer to supply or supply goods or services that Mail Plus has not approved in connection with the Franchised Business.

16.2 Exclusivity of supply

Mail Plus may require that the Franchisee only purchase particular Approved Goods and Services from Mail Plus where those Approved Goods and Services are essential to the System, display the Trade Marks or use the Intellectual Property. These Approved Goods and Services are likely to include marketing material and training services.

16.3 Rebates

- (a) The Franchisee acknowledges that Mail Plus may receive (and may keep for its own use) rebates or other benefits (including financial benefits) from contractors, suppliers or others in connection with the operation of the Franchised Business or the System.

- (b) For the purposes of clause 16.3(a) rebates includes goods, money, discount, allowance, concession, bonus, credits or other benefits.

16.4 Credit

- (a) Mail Plus is not required to extend credit to the Franchisee for the supply of Approved Goods and Services.
- (b) If Mail Plus extends credit, Mail Plus may suspend or stop that credit if the Franchisee exceeds its credit limit or is in breach of this Agreement.

16.5 Maximum prices

The Franchisee will not sell or offer for sale Approved Goods and Services at a price which is greater than the maximum price determined by Mail Plus from time to time.

17. Marketing

17.1 Marketing Fund

- (a) The Franchisee must pay to Mail Plus the Marketing Levy from such time as a fund is set up for the administer and control a marketing fund (**Marketing Fund**). The Marketing Fund is expected to commence from 1 July 2023.
- (b) Some franchisees may contribute to the Marketing Fund at different rates. Mail Plus will contribute to any Marketing Fund with respect to businesses it operates that are the same as the Franchised Business at the same rate as franchisees.
- (c) Mail Plus will administer the Marketing Fund in accordance with the Code.
- (d) Mail Plus may spend the Marketing Fund as it deems appropriate in its discretion including by:
 - (i) paying expenses that have been disclosed to franchisees under the disclosure document; or
 - (ii) paying legitimate marketing or advertising expenses, such as:
 - (A) paying for the production and handling of marketing material;
 - (B) engaging consultants to provide marketing advice, assistance or materials; or
 - (iii) paying expenses that have been agreed to by a majority of franchisees; or
 - (iv) paying the reasonable costs of administering and auditing the Marketing Fund.
- (e) Mail Plus is not required to spend the Marketing Fund in any territory, on behalf of any franchisee or in any particular timeframe.

17.2 Franchisee marketing obligations

The Franchisee will:

- (a) use its best endeavours to promote the Franchised Business in the Territory during the Term (at its cost) in an ethical manner compliant with all Laws;
- (b) participate (at its cost) in all marketing activities and promotions Mail Plus requires from time to time, including specific localised marketing activities;
- (c) only use marketing materials produced or approved by Mail Plus and not use any marketing materials which have not been produced or approved by Mail Plus;
- (d) ensure that all marketing activities are not in any way misleading or deceptive and conform to the highest standards of ethical marketing;
- (e) not use, publish, sell or distribute any marketing material that is illegal, immoral, in poor taste (in the reasonable opinion of Mail Plus), that may bring the Franchisee, Franchised Business, System or Mail Plus or its Associates into disrepute; and
- (f) not promote the Franchised Business or the sale of Approved Goods and Services on the World Wide Web or the Internet without Mail Plus's prior written consent, which may be conditional, withheld at its discretion or withdrawn upon 14 days' notice to the Franchisee.

17.3 Franchisee acknowledgements and authorisation

- (a) The Franchisee acknowledges that:
 - (i) Mail Plus is not obliged to spend any part of the Marketing Fund on marketing for the Franchised Business and does not represent that the Franchisee will receive any benefit from the Marketing Fund;
 - (ii) Mail Plus does not represent that the franchisees, or particular groups of franchisees, will receive any benefit from the Marketing Fund or that marketing will be conducted consistently or equally between franchisees or groups of franchisees.
- (b) The Franchisee authorises Mail Plus to negotiate promotions with suppliers for the benefit of the System and the Franchised Business on behalf of the Franchisee and to negotiate the terms of promotions with suppliers and to bind the Franchisee to such terms.

17.4 Mail Plus's rights

Mail Plus may, but is not obliged to:

- (a) grant to a franchisee a temporary or permanent moratorium on the payment of contributions to the Marketing Fund;
- (b) reduce or discount the contribution payable to the Marketing Fund;

- (c) at any time waive or write off as a bad debt all or any contribution payable to the Marketing Fund;
- (d) lend money to the Marketing Fund and repay any such loan with interest at a rate of not more than 13.5% per year and other payments due under the loan;
- (e) invest all or part of the Marketing Fund provided that Mail Plus will contribute all money earned from the investment to the Marketing Fund and makes the investment using due care. If Mail Plus invest all or part of the Marketing Fund and the money invested is lost, that loss is to be paid from the Marketing Fund and Mail Plus is not liable for any loss of the investment, except to the extent that such loss was caused by the wilful or fraudulent acts or omissions of Mail Plus.

18. Insurance

18.1 Insurance

- (a) The Franchisee will at its own cost obtain from a reputable insurance company or companies insurance cover not less than the Insurance Requirements. The Franchisee may and should obtain insurance in addition to the Insurance Requirements if it wishes to do so. The Franchisee will provide a copy to Mail Plus of all insurance policies of the Franchisee with respect to the Franchised Business within 7 days of receiving a request to do so.
- (b) The Franchisee will arrange at its cost for all insurance policies to name Mail Plus as an additional insured party. Prior to the Commencement Date the Franchisee will provide Mail Plus with proof of having obtained insurance cover and the Franchisee will deliver to Mail Plus certificates of insurance for all insurance policies within 30 days of the Commencement Date. The certificates of insurance will state that the insurance policies cannot be cancelled or altered without 30 days prior written notice to Mail Plus.
- (c) The Franchisee will keep the insurance cover for at least the Insurance Requirements in full force and effect during the Term and will at all times observe the conditions of all insurance policies. The Franchisee will not do any act or make any omission, which might prejudice, invalidate or render void or voidable any insurance policy.

19. Records, reports, accounting

19.1 Reports and Records

- (a) The Franchisee will give Mail Plus correct and complete Records, Reports and information requested by Mail Plus or its Associates. This includes:
 - (i) information regarding the Manager or proposed transferee;
 - (ii) information regarding the viability of any split of the Territory and the financial viability of such a split;
 - (iii) details of the Franchisee's billable activities;

- (iv) information related to the daily activities as recorded on a run sheet or similar document prepared in respect of the Franchised Business;
 - (v) a monthly report about Turnover and expenses for the previous month and run schedules;
 - (vi) within 4 months of each tax year ending, financial statements for the Franchisee, the Guarantors and the Franchised Business for the previous tax year certified true and correct by the Franchisee's accountant;
 - (vii) the information set out in clause 19.1, which includes information regarding the employees, contractors and personnel engaged by the Franchisee in the operation of the Franchised Business, the rosters of work and records of hours actually worked for those employees, contractors and personnel, payslips and records verifying the payment of those employees, contractors and personnel and such other information relating to the employees, contractors and personnel and the terms on which the employees, contractors and personnel have previously or are currently engaged on;
 - (viii) within 14 days of a request in writing, a copy of any Record relating to the Franchisee, the Guarantors or to the Franchised Business that is requested by Mail Plus; and
 - (ix) a summary of competitor activity in the Territory.
- (b) The Franchisee will supply the Records, Reports and information in the format requested by Mail Plus and subject to any express time period set out in clause 19.1(a), by the time that Mail Plus reasonably requires.

19.2 Records

The Franchisee will:

- (a) maintain suitable accurate accounting and other Records that explain the financial position of and the transactions of the Franchised Business and which verify that the Franchisee has operated the Franchised business in accordance with this Agreement and the Law including, for the avoidance of doubt, any Workplace Law;
- (b) keep secure all Records for at least 6 years after the end of the year to which the Record relates; and
- (c) keep those Records at the Premises or such other place as Mail Plus reasonably approve.

19.3 Rights to inspect or audit on reasonable notice

- (a) Mail Plus or its Associates may, during normal business hours, enter or inspect the Premises or place referred to in clause 19.2(c) or Vehicles to carry out inspections or audits of the Franchised Business. If the Premises referred to in clause 19.2(c) is a residential home, the right to enter and inspect will be limited to the

home office or such location in the home as the Records are located.

- (b) Mail Plus or its Associates may during any inspection or audit, monitor and evaluate all activities that the Franchisee, Managers, contractors, employees and its Associates are required to perform under this Agreement or in connection with the Franchised Business.
- (c) If Mail Plus asks, the Franchisee will produce and deliver Records and Mail Plus may inspect or take copies of any Records.
- (d) If Mail Plus asks, the Franchisee will provide access to the Manager, employees, contractors and personnel and request those persons to answer any direct questions posed by Mail Plus truthfully, completely and without any fear of retribution from the Franchisee.

19.4 Results of inspections or audits

In addition to any rights Mail Plus has as a result of the Franchisee's breach (including, subject to regulation 19A and regulation 22 of the Code, a right to reimbursements of costs under clause 6.5(a)), if an inspection or audit indicates that the Franchisee has concealed or understated income or Turnover the Franchisee will pay Mail Plus the monies that would have been payable if that income or Turnover had not been concealed, plus interest calculated under clause 6.4.

20. Intellectual Property

20.1 Intellectual Property

- (a) The Franchisee acknowledges that the Intellectual Property and any goodwill in the Intellectual Property belong to Mail Plus and/or its Associates (to the exclusion of the Franchisee).
- (b) The Franchisee will not infringe, harm, dispute or contest the validity, right to register, registration, ownership or right to use any of the Intellectual Property or the intellectual property of the Another Franchise.
- (c) If the Franchisee or its Associates become aware that a person has or may infringe the Intellectual Property or the intellectual property of the Another Franchise, the Franchisee and/or its Associates will notify Mail Plus and provide to Mail Plus all requested information that it is aware of regarding the infringement or potential infringement.
- (d) Neither the Franchisee nor its Associates may commence any proceedings against anyone for infringement of the Intellectual Property without Mail Plus's prior written consent, which consent may be conditional, in its discretion and withdrawn upon 14 days' notice.
- (e) If proceedings are commenced without Mail Plus's prior written consent, Mail Plus may take over and control those proceedings at the Franchisee's cost.

- (f) The Franchisee agrees that all improvements to the System including the Manual, the Confidential Information, the Image and the Trade Marks are solely the Mail Plus's property.

21. Confidential information and non disclosure

21.1 Obligations of confidentiality

The Franchisee, Manager and Guarantors acknowledge that the Confidential Information is the property of and confidential to or a trade secret of Mail Plus. The Franchisee, Manager and Guarantors, its employees and contractors will:

- (a) keep the Confidential Information confidential and not directly or indirectly disclose, divulge or communicate that Confidential Information to, or otherwise place that Confidential Information at the disposal of, any other person without the prior written consent of Mail Plus;
- (b) take all reasonable steps to secure and keep secure all Confidential Information coming into its possession or control; and
- (c) not memorise, use, modify, reverse engineer or make copies, notes or records of the Confidential Information for any purpose other than in connection with the performance by the Franchisee and Manager of its obligations under this Agreement.

22. Public announcements

22.1 Making announcements

The Franchisee, Manager and Guarantors will not make, or authorise or cause to be made, any public announcement relating to Mail Plus, the System, the Franchised Business or the subject matter of this Agreement unless it has the prior written consent of Mail Plus or it is required to do so by Law or by the rules of any financial market (as defined in the Corporations Act) to which a party, or an Associate of a party, is subject.

22.2 Requirements

If the Franchisee, Manager or Guarantors are required to make a public announcement under clause 22.1, it will before doing so, to the extent practicable and as soon as reasonably possible, notify Mail Plus of the proposed announcement, consult with Mail Plus as to its content and use reasonable endeavours to comply with any request by Mail Plus concerning the proposed announcement.

23. No competition

23.1 No competition

- (a) For the purposes of this clause 23:
 - (i) **Restraint Area** means each of the following separate geographical areas:

- (A) within a radius of 10 kilometres of the Premises or any other Franchised Business then in operation (whether franchised or not);
 - (B) within a radius of 10 kilometres of the Premises;
 - (C) within a radius of 5 kilometres of the Premises or any other Franchised Business then in operation (whether franchised or not);
 - (D) within a radius of 5 kilometres of the Premises;
 - (E) within a radius of 3 kilometres of the Premises or any other Franchised Business then in operation (whether franchised or not); and
 - (F) within a radius of 3 kilometres of the Premises; and
- (ii) **Restraint Period** means each of the following times:
 - (A) 60 months after the transfer or end of the Franchise;
 - (B) 48 months after the transfer or end of the Franchise;
 - (C) 36 months after the transfer or end of the Franchise;
 - (D) 24 months after the transfer or end of the Franchise;
 - (E) 12 months after the transfer or end of the Franchise;
 - (F) 6 months after the transfer or end of the Franchise;
 - (G) 3 months after the transfer or end of the Franchise; and
 - (H) the Term.
- (b) The Franchisee, Manager and Guarantors agree that in exchange for the grant of the right to operate the Franchised Business and the disclosure of the Confidential Information, the Franchisee, Manager and Guarantors will not have any interest either jointly or severally as owner (except of publicly traded securities) partner, director, principal, officer, consultant, representative, agent, independent contractor, adviser, trustee, lender, supplier, grantor, licensor or franchisor in any Competing Business which could reasonably be regarded as a market competitor or a close imitation of the Franchised Business within the Restraint Area during the Restraint Period.
- (c) The Franchisee, Manager and Guarantors severally and jointly enter into each of the restraint of trade covenants specified in clause 23.1(b) resulting from the combination of each separate geographical area comprising the Restraint Area with each separate period of time comprising the Restraint Period with Mail Plus. Each restraint of trade covenant entered into with Mail Plus pursuant to clause 23.1(b) constitutes a separate and severable restraint of trade imposed severally on each of the Franchisee, Manager and Guarantors. The Franchisee, Manager and Guarantors severally acknowledge and agree that each of the restraint of trade covenants

specified in clause 23.1(b) are reasonable and acceptable in the circumstances.

- (d) If any of the restraint of trade covenants referred to in clause 23.1(b) is or becomes unenforceable, that does not and will not affect the validity and/or enforceability of the other restraint of trade covenants contained in clause 23.1(b), which will remain binding and enforceable on each of the Franchisee, Manager and Guarantors.

23.2 Not to employ staff

During the Term and for the period of 12 months following the expiration of or termination of this Agreement, the Franchisee, Manager and Guarantors agree not to employ any current or former employees or contractors of Mail Plus or its Associates or current or former employees or contractors of other franchisees without Mail Plus's written consent.

23.3 Not to solicit Clients

The Franchisee, Manager and Guarantors agree not to solicit, canvass or entice Clients serviced by the Franchisee or any franchisee in the System at any time during the Term and for the period of 12 months following the expiration of or termination of this Agreement for the purpose of offering to supply or supplying those Clients with the Approved Goods or Services or goods or services substantially similar.

23.4 Exceptions to non competition

The restrictions in clause 23.1 do not prevent the Franchisee and its Associate from owning or operating another Franchised Business granted by Mail Plus in Australia.

23.5 Non-competition by Manager

The Franchisee acknowledges that its consent to the Manager may be conditional. Mail Plus will require the Manager to enter into a binding non-competition deed on terms similar to the terms set out in this clause 23.

24. Term

This Agreement commences on the Commencement Date and continues for the Term unless earlier terminated in accordance with this Agreement.

25. Further Term

25.1 Renewal Term

If a Renewal Term is specified and the Franchisee seeks to be granted the right to operate the Franchised Business for the Renewal Term, the following provisions apply:

- (a) the Franchisee will advise Mail Plus in writing that it exercises its right of renewal and pay the Renewal Fee not more than 6 months and not less than 3 months before the end of the Term.
- (b) Mail Plus will renew the right to operate the Franchised Business for the Renewal Term if, and only if:

- (i) the renewal notice has been given on time; and
 - (ii) throughout the Term the Franchisee has at all times acted in full compliance with this Agreement; and
 - (iii) the Franchisee is not in breach of this Agreement; and
 - (iv) the Franchisee proves to Mail Plus that it, its Controller, its Associates, its Manager and the Guarantor is suitable, respectable, responsible and solvent; and
 - (v) the Franchisee has no overdue debts due to Mail Plus, its Associate or any supplier or trade creditor of the Franchised Business; and
 - (vi) within 21 Days of Mail Plus submitting to the Franchisee its then current Disclosure Document and the form of franchise agreement it will require the Franchisee to execute (**Renewal Franchise Agreement**) the Franchisee, the Manager and the Guarantor execute and return to the Mail Plus the Renewal Franchise Agreement and any other documentation (including acknowledgements); and
 - (vii) within 7 days of a request, pay, subject to regulation 19A and regulation 22 of the Code, the costs, including all legal costs, incurred by Mail Plus in the preparation, negotiation, stamping and registration of the Renewal Franchise Agreement and other documentation signed upon renewal; and
 - (viii) the Franchisee has obtained all necessary permits and licences to enable the Franchisee to properly operate the Franchised Business in accordance with the Renewal Franchise Agreement and the Law and provided evidence of such to Mail Plus.
- (c) The Renewal Term in the Renewal Franchise Agreement will be reduced to reflect the exercise of this option.
- (d) The Renewal Franchise Agreement may contain terms and conditions that are different to this Agreement (including but not limited to terms and conditions requiring the payment of different fees) but will not require the payment of a further Initial Franchise Fee.

25.2 Refund of Renewal Fee

Mail Plus will refund the Renewal Fee, less any costs or expenses incurred by Mail Plus which Mail Plus may charge or retain under the Code, in relation to the renewal or under this Agreement, if Mail Plus does not grant a renewal to the Franchisee for the reasons set out in clause 25.1(b)(ii) or clause 25.1(b)(iv).

25.3 Extending the Term

If the Franchisee wishes to, it may request that the Term be extended in accordance with the procedure set out in clause 26.4(c).

26. Sale of Franchised Business by Franchisee

26.1 Restricted dealings

The Franchisee may not:

- (a) sell, assign, transfer or mortgage the Franchised Business or any interest in the Franchised Business;
- (b) if a Company, sell, assign, transfer or mortgage shares in the Franchisee;
- (c) if a Trustee of a trust, sell, assign, transfer or mortgage any beneficial interest in the trust

(**Transfer**) without the prior written consent of Mail Plus, which consent will not be unreasonably withheld.

26.2 Right of first refusal

- (a) If the Franchisee wishes to Transfer all or part of its interest in the Franchisee or the Franchised Business then Mail Plus has the first right to accept a Transfer which, subject to clause 26.2(f), will be on the same terms that the Franchisee has agreed on with the proposed transferee or on such other terms as are agreed upon by Mail Plus and the Franchisee.
- (b) The terms that the Franchisee and proposed transferee have agreed on will be in writing and will be provided to Mail Plus, together with such other information as Mail Plus reasonably requires to assess the proposed Transfer.
- (c) The information referred to in clause 26.2(b) will be provided within 14 days of the request by Mail Plus. A request for consent to the Transfer is deemed to not have been made until this information is provided.
- (d) If Mail Plus fails to advise the Franchisee that it accepts the Transfer within 14 days of receipt of all information requested under clause 26.2(b) then Mail Plus is deemed to have waived its right of first refusal.
- (e) If the terms on which the Franchisee agrees on with the proposed transferee subsequently change then Mail Plus has a new right of first refusal which will be exercised in accordance with this clause 26.
- (f) All proposed Transfers will be documented and/or completed (provided the commercial terms of the proposed dealing remains the same) in any reasonable manner that Mail Plus directs. Mail Plus may nominate another party as the purchaser where Mail Plus has exercised its right of first refusal. The documentation for a Transfer will be drafted and signed within 14 days of agreement between the parties. A Transfer may not be completed until at least 14 days after the parties sign the documentation.

26.3 Consent to Transfer

Mail Plus will not withhold its consent to a Transfer if the following conditions are met:

- (a) the Franchisee pays the Transfer Fee upon making a request for Mail Plus's consent to the Transfer;
- (b) the Franchisee and the proposed transferee and its Associates meet with Mail Plus and provide to Mail Plus such information as Mail Plus requests;
- (c) the Franchisee proves that the proposed transferee and its Associates are respectable, responsible, can meet the financial obligations of operating the Franchised Business and are solvent;
- (d) the Franchisee is complying with this Agreement and all other agreements with Mail Plus and the creditors or suppliers of the Franchised Business;
- (e) the Franchisee and the proposed transferee comply with their obligations at Law (including disclosure obligations);
- (f) the Franchisee pays the Transfer Fee upon Mail Plus giving its consent to the Transfer;
- (g) the proposed transferee satisfactorily completes any training required by Mail Plus and pays to Mail Plus the then current training fee prior to the Transfer;
- (h) the documentation for the Transfer is approved by Mail Plus; and
- (i) the Franchisee pays, subject to regulation 19A of the Code, all reasonable costs incurred by Mail Plus in relation to the documentation required for the Transfer (regardless of whether the Transfer is effected).

The Franchisee acknowledges that it is reasonable for Mail Plus to withhold its consent to a Transfer in the circumstances set out in regulation 20(3) of the Code.

26.4 Extending the Term

- (a) If Mail Plus consent to a Transfer (unless Mail Plus agrees otherwise) the proposed transferee will be granted the right to operate the Franchised Business under the then current franchise agreement (which may contain different terms including different fees and obligations).
- (b) Subject to clause 26.4(c), the term granted to the proposed transferee will be the remainder of the Term.
- (c) Subject to clause 26.4(d), the Franchisee may increase the Term by paying an amount to Mail Plus calculated in accordance with the following formula:

$$\frac{CFF \times IT}{180}$$

Where:

CFF = the then current initial franchise fee for a 15 year term; and

IT = the number of months by which the Franchisee wishes to increase the Term.

- (d) Mail Plus may refuse its consent or impose further conditions upon the increase of the Term in its discretion. The Franchisee may not increase the Term by more than 180 months.

26.5 Permitted securities

- (a) Except for the Permitted Securities (if any), neither the Franchisee nor Guarantors may Encumber the Business Assets or the Franchised Business without the prior written consent of Mail Plus, which may not be unreasonably withheld.
- (b) The Franchisee and Guarantors acknowledge that the consent of Mail Plus to an Encumbrance under clause 26.5(a) may be conditional.

26.6 Dealings by Mail Plus

- (a) Mail Plus, its successor or assignees may Transfer or otherwise deal with all or any part of its interest, business, assets, this Agreement and/or any other agreement between Mail Plus and the Franchisee and the Guarantors as it sees fit.
- (b) The Franchisee and Guarantors agree to execute any documentation required by Mail Plus to give effect to a Transfer.

26.7 Creation of Another Franchise System

- (a) The Franchisee acknowledges that nothing in this Agreement will prevent Mail Plus from creating Another Franchise System.
- (b) The Franchisee acknowledges that nothing in this Agreement will give the Franchisee a right to operate a business under Another Franchise System.

26.8 Mail Plus's right to purchase Business Assets

- (a) If the Franchisee's right to operate the Franchised Business is:
 - (i) terminated for any reason; or
 - (ii) is not renewed; or
 - (iii) expires; or
 - (iv) is due to expire in less than 3 months and cannot or has not been renewed in accordance with the terms of this Agreement (**Option Event**),

then Mail Plus has the right to purchase any of the Business Assets.

- (b) Mail Plus will give the Franchisee written notice of its intention to purchase the Business Assets and Mail Plus will provide this notice within 30 days after an Option Event occurs.
- (c) The Franchisee acknowledges that there will be no compensation for goodwill.
- (d) If requested by Mail Plus, the Franchisee will issue a notice under section 262A(4AH) of the *Income Tax Assessment Act 1936 (Cth)* (as amended) in order to allow Mail Plus to claim any depreciation of the Business Assets.
- (e) Mail Plus will pay a fair market value for the Business Assets. If the parties cannot agree on a purchase price within 10 days after Mail Plus exercises its option, an independent valuer (appointed by Mail Plus) will determine the fair market value based upon the guidelines set out in the Manual. The decision of the valuer will be final and binding on the parties and each party will pay an equal share of the valuer's cost.
- (f) Mail Plus may choose not to proceed after the valuer has determined the purchase price. If Mail Plus does not proceed to purchase the Business Assets it will only be liable for an equal share of the valuer's costs.
- (g) Mail Plus will choose the place and date of settlement of the purchase and will prepare the contract of sale on the standard terms set out in the Manual. Mail Plus will also be entitled to set-off against the purchase price any amounts, which the Franchisee or its Associates owes to Mail Plus or its Associates under this Agreement or any other agreement in relation to the Franchised Business and to pay out of the purchase price any of the Franchisee's unpaid trade debts (regardless of whether such debts are then due and payable). This does not limit Mail Plus's general rights set out in clause 40.21.

27. Death or disability

- (a) This clause applies only to individuals who are part of the Franchisee or the Guarantors and who die or are disabled (**Incapacitated Person**). In this clause, a person is disabled if they are fully or partly physically or mentally incapacitated and the disability or incapacity renders them unable to provide for the proper and continuous operation of the Franchised Business for 14 days or more.
- (b) The Incapacitated Person's representative will provide to Mail Plus a proposal in relation to the transfer of the Incapacitated Person's interest in the Franchised Business within 30 days of the death or disability occurring.
- (c) The Incapacitated Person's representative will transfer the Incapacitated Person's interest in the Franchised Business in accordance with this Agreement within 120 days of the death or disability occurring.

- (d) Mail Plus will waive payment of the Transfer Fee where the Incapacitated Person's interest is transferred to the spouse, heir or relative of the Incapacitated Person.
- (e) If the Manager dies or is disabled (**Incapacitated Manager**) Mail Plus may appoint a Manager to operate the Franchised Business.

28. Breach of Agreement by Franchisee or Guarantors

28.1 Breach by other parties

The Franchisee and the Guarantors will ensure that this Agreement is complied with by it, its Associates, its agents, its employees, its contractors and its invitees.

28.2 Ending of this Agreement by the Franchisee

The Franchisee may end this Agreement if Mail Plus goes into liquidation for more than 3 months.

28.3 Ending of this Agreement by Mail Plus for breach

- (a) If the Franchisee or Guarantors breach this Agreement, Mail Plus will give the Franchisee and the Guarantors a breach notice which states that Mail Plus proposes to terminate this Agreement because of the breach unless the Franchisee or Guarantors (as the case may be) remedy the breach in the manner Mail Plus requires in a reasonable time (which will not be more than 30 days).
- (b) If the Franchisee and/or Guarantors (as the case may be) fail to remedy the breach in accordance with the breach notice, Mail Plus can immediately terminate this Agreement by giving the Franchisee and the Guarantors written notice of termination.

28.4 Special circumstances for ending this franchise

Mail Plus may terminate this Agreement by giving 7 days' written notice of the proposed termination if the Franchisee:

- (a) no longer hold a licence that the Franchisee must hold to carry on the Franchised Business; or
- (b) becomes bankrupt, insolvent under administration or a Chapter 5 body corporate; or
- (c) in the case of a Franchisee that is a company – becomes deregistered by the Australian Securities and Investments Commission; or
- (d) voluntarily abandons the Franchised Business or the franchise relationship; or
- (e) is convicted of a serious offence (as defined by the Code); or
- (f) operates the Franchised Business in a way that endangers public health or safety; or

- (g) is fraudulent in connection with operation of the Franchised Business, including by providing to Mail Plus false Records or documents.

Subject to the Code and any delay to facilitate dispute resolution in accordance with the Code, termination will be effective on the date specified in the notice given under this clause.

28.5 Termination by agreement

This Agreement can be terminated if the Franchisee and Mail Plus mutually agree to the termination at the time of that termination.

28.6 Termination without consent

This Agreement can be terminated if Mail Plus, without the Franchisee's consent, gives the Franchisee reasonable written notice of the proposed termination and the reasons for the proposed termination.

28.7 Temporary suspension of termination

- (a) If Mail Plus gives the Franchisee a written notice of a proposed termination under clause 28.4 the parties agree that Mail Plus can take action to cause or require that the Franchisee immediately cease operating all or part of the Franchised Business because of a ground referred to in clause 28.4.
- (b) In the circumstances set out in this clause, clause 28.8 will apply.
- (c) In the circumstances set out in this clause, Mail Plus may choose to act under clause 28.9.

28.8 Temporary suspension of operation of breach

Upon giving notice to the Franchisee and the Guarantors of a breach notice under clause 28.3, Mail Plus may by written notice to the Franchisee:

- (a) suspend the supply of Approved Goods and Services to the Franchisee and by the Franchisee to Clients; or
- (b) if Mail Plus determines that it is necessary to do so to preserve the goodwill of the System or to properly service Clients of the Franchised Business, immediately suspend the Franchisee's right to operate the Franchised Business and may appoint a manager to operate the Franchised Business. The Franchisee acknowledges that it will be responsible for payment of the managers at the Hourly Rates,

until such time as Mail Plus is satisfied that the breach notice has been remedied, the risk to the goodwill of the System has abated and the Franchisee will be able to properly service Clients of the Franchised Business.

28.9 Mail Plus alternatives to termination

- (a) Where Mail Plus is entitled to terminate this Agreement, it may, in its discretion, elect to take any of the following actions as an alternative to termination:
 - (i) declare that the Territory is no longer exclusive;
 - (ii) alter the boundaries of the Territory; or
 - (iii) split the Territory.
- (b) Where Mail Plus elects to take any of the alternative actions outlined in clause 28.9(a), Mail Plus:
 - (i) may appoint another franchisee, contractor or employee to supply the Approved Goods and Services to any Client or prospective Client in the Territory (as it was prior to or after any changes made by Mail Plus pursuant to this clause 28.9); and
 - (ii) will not be liable to pay any compensation to the Franchisee.
- (c) The rights under this clause are in addition to any other rights in this Agreement.

29. Cooling off under the Code

- (a) The Franchisee may end this Agreement during the cooling off period (defined in the Code) provided that this Agreement does not relate to the renewal or extension of the Franchised Business.
- (b) If this Agreement is ended under clause 29(a) the Franchisee will be entitled to a refund of money paid under this Agreement less \$7,500 plus GST (which amount is an estimate of the reasonable expenses incurred by Mail Plus for recruitment, investigation, administration, negotiations and dealings with the Franchisee, preparation of the documentation (prior to it being signed) and training).

30. Effect of expiry or end of this Agreement

30.1 Payments

At the expiration or end of this Agreement the Franchisee will pay to Mail Plus, its Associates, and suppliers and trade creditors (as the case may be) all money due under this Agreement and any other agreement or due in respect of the Franchised Business.

30.2 Other obligations on expiry or ending

At the expiration or end of this Agreement (for any reason) the Franchisee and its Associates will, within the time frame Mail Plus specifies:

- (a) cease to act as a Mail Plus franchisee and cease using and (at the election of Mail Plus) return to Mail Plus or destroy any document, records or property that contains Client information, the Intellectual

Property, the Trade Marks, the System, the Image, the Confidential Information and the Manuals;

- (b) transfer to Mail Plus or its nominee, or cancel as directed by Mail Plus, all registrations that include the words "Mail Plus" including the provision of the consent to transfer number obtained promptly from the Australian Securities and Investment Commission for the Business Name;
- (c) sign and deliver all documents Mail Plus require (in the form provided to the Franchisee and the Guarantors by Mail Plus) to complete the expiry or ending of this Agreement; and
- (d) undertake such action Mail Plus reasonably requires the Franchisee and/or Guarantors to do or omit from doing as a result of this Agreement expiring or coming to an end.

30.3 No goodwill payment

The Franchisee and/or Guarantors and its Associates are not entitled to receive any compensation or payment from Mail Plus or its Associates (or anyone else) for any loss of goodwill that may arise upon the expiry, ending, surrender or non renewal of this Agreement.

30.4 Purchase of Business Assets

Mail Plus may purchase the Franchisee and/or Guarantors' Business Assets under clause 26.8.

31. Holding over

If Mail Plus consents to the operation of the Franchised Business beyond the Term, the Franchised Business must be operated in accordance with this Agreement. Mail Plus may withdraw or vary that consent upon 30 days' written notice.

32. Power of attorney

- (a) The Franchisee and the Guarantors hereby appoint Mail Plus as its attorney for it and in its name to execute documents and do all such things as may be necessary to ensure that the Franchisee and/or Guarantors comply with their obligations under this Agreement. This includes taking out insurance on behalf of the Franchisee, issuing legal proceedings to recover a debt due to the Franchisee, Guarantors or Mail Plus on behalf of the Franchisee or Guarantors.
- (b) Mail Plus is not entitled to act as the Franchisee and/or Guarantors' attorney under clause 30.2(a) unless the Franchisee and/or Guarantors are in breach of this Agreement.
- (c) Mail Plus's appointment as the Franchisee and/or Guarantors' attorney may not be terminated and the Franchisee and/or Guarantors agree to ratify anything Mail Plus does in the exercise of such power of attorney.

- (d) Mail Plus may exercise its powers under this clause 32 even if under any conflict of interest and may enter into conflict transactions generally.
- (e) The Franchisee will reimburse Mail Plus for all costs and liabilities incurred by exercising its power of attorney within 14 days of demand by Mail Plus for payment (subject to any inability to retain those costs under regulation 19A of the Code).

33. Liability

- (a) Terms implied into this Agreement are excluded to the full extent permitted by law.
- (b) Subject to regulation 19A and regulation 22 of the Code, the liability of Mail Plus for a breach of an express or implied term of this Agreement is limited to:
 - (i) if the breach relates to goods, liability is limited to the replacement or supply of equivalent goods, repair of goods, payment of the cost of replacing the goods or of acquiring equivalent goods or paying the cost of having the goods repaired; and
 - (ii) if the breach relates to services, liability is limited to supplying the services again, paying the cost of having the services supplied again or repayment of the fees received for the service supplied.

34. Indemnities

34.1 Indemnities

Subject to regulation 19A and regulation 22 of the Code, the Franchisee will, during the Term and after the termination or expiration of this Agreement, indemnify and hold harmless Mail Plus and its Associates from and against all Claims for which Mail Plus or its Associates are held liable or which Mail Plus or its Associates may incur (including legal costs) in any litigation or proceeding as a result of or arising in any way out of:

- (a) the Franchisee, Manager's or Guarantor's breach of this Agreement or any other agreement between Mail Plus and the Franchisee;
- (b) any injury to, or loss of property of, any person in the Franchised Business or on the Premises;
- (c) the Franchisee's taxes, liabilities, costs or other expenses incurred in the operation of the Franchised Business;
- (d) any negligent or wilful act or omission whether committed by the Franchisee, the Franchisee's Associates, the Manager, the Guarantors, the Franchisee's employees, contractors or others for whom the Franchisee is responsible legally; or
- (e) circumstances in which the Franchisee holds itself out or appears to hold itself out as the Franchisor's agent in circumstances where Mail Plus have not instructed the Franchisee as its agent; or

- (f) circumstances in which the Franchisee incurs any debt or liability in the course of conducting the Franchised Business

except to the extent that Mail Plus caused or contributed to any such Claims.

34.2 Indemnity in relation to unpaid accounts

- (a) The Franchisee will not make any claim against Mail Plus or its Associates in respect of accounts or monies unpaid by Clients.
- (b) Mail Plus or its Associates will not be liable to the Franchisee or its Associates for any accounts or money that is not paid in respect of Approved Goods and/or Services provided by the Franchised Business, except to the extent that Mail Plus caused the failure to recover payment by virtue of its own wilful or fraudulent acts or omissions.

35. Guarantee and indemnity

- (a) In consideration of Mail Plus entering into this Agreement with the Franchisee and the Manager at the request of the Guarantors, the Guarantors:
 - (i) guarantee to Mail Plus the punctual performance by the Franchisee and the Manager of their obligations under this Agreement, including the Franchisee's obligations to pay money; and
 - (ii) indemnify and will keep indemnified Mail Plus against all actions, claims, proceedings, demands, liabilities, losses, damages, expenses and costs (including legal costs) that may be brought against Mail Plus or which Mail Plus may pay, sustain or incur as a direct or indirect result of any breach or non-performance of this Agreement by the Franchisee or the Manager, (including in relation to any action, claim, investigation for any actual, potential or alleged breach or non-compliance with Workplace Laws).
- (b) The Guarantors will on demand by Mail Plus:
 - (i) pay to Mail Plus any amount that the Franchisee fails to pay Mail Plus; or
 - (ii) comply with any of the Franchisee's and Manager's obligations that the Franchisee or Manager fails to comply with;

on or by the due date for compliance as prescribed by this Agreement, or both, as the case may be, whether or not demand has been made by Mail Plus on the Franchisee or Mail Plus.

- (c) The Guarantors' obligations and Mail Plus's rights under this clause 35 are not affected by anything that might otherwise affect them at law including:

- (i) any concession (such as extra time) being given to any person, including the Guarantors, Franchisee or Manager;
- (ii) Mail Plus's failure or delay in taking action or asserting a right, or any other act, omission or mistake by Mail Plus;
- (iii) this Agreement (or any agreement entered into in order to perform this Agreement) being varied;
- (iv) the failure of any Guarantors or any other person to execute this Agreement; or
- (v) an obligation or liability of a person other than the Guarantors being or becoming invalid or unenforceable.

35.2 Continuing obligations of guarantee and indemnity

- (a) This guarantee and indemnity will be a continuing guarantee and indemnity, and the liability of each of the Guarantors is absolute and unconditional.
- (b) The liability of each of the Guarantors is not affected or discharged by anything but for this provision would discharge any liability at law, equity, by statute, by arrangement or otherwise may release, affect or discharge or reduce any liability of any debtor or Guarantors or other person.
- (c) In particular, this guarantee and indemnity is not affected or discharged by the death or insolvency of a member of the Franchisee, the Guarantors or its Associates nor by the variation, transfer or ending of this Agreement and/or any ancillary documents.
- (d) This guarantee and indemnity will bind each of the Guarantors even if any Guarantor is or has become the only Guarantor bound.

35.3 Trustee

Each of the Guarantors agrees that if any Guarantor is a trustee of a trust it will be liable to Mail Plus both personally and in its capacity as trustee, and each of the Guarantors promises that its right of indemnity out of the assets of the trust is not limited in any way.

35.4 Transfer

If Mail Plus transfers its interest in this Agreement, Mail Plus may also transfer its rights under this guarantee and indemnity. Mail Plus will notify the Franchisee, Guarantors or its Associates of such a transfer.

35.5 Reliance

Mail Plus enters into this Agreement and any ancillary documents in reliance on each of the Guarantors giving this guarantee and indemnity. The guarantee and indemnity in this clause is taken to be signed, sealed and delivered as a deed.

36. Code

- (a) The parties to this Agreement agree to comply with the provisions of the Code whilst it is mandatory.
- (b) If Mail Plus elects to register or comply with the terms of any voluntary code or any other industry code or other standard of conduct, the parties to this Agreement will comply with these from the date on which Mail Plus notifies the Franchisee of such election.
- (c) The parties will comply with any amendments to the Code from the date such amendments become mandatory.

37. Advisory councils

37.1 Franchise Advisory Council

Mail Plus may establish a Franchisee Advisory Council which will be governed by such rules as Mail Plus determine in its discretion are appropriate from time to time.

37.2 Franchisee Association

A franchisee or prospective franchisee may form an association or associate with other franchisees or prospective franchisees for a lawful purpose.

38. Resolving disputes

- (a) If any dispute arises between Mail Plus, the Franchisee, the Manager or the Guarantors relating to or arising out of this Agreement, including its construction, effect, the rights and obligations of the parties, the performance, breach, rescission or termination of this Agreement, the entitlement of any party to damages or compensation (whether for breach of contract, tort or any other cause of action) or the amount of that entitlement (**Dispute**), the party claiming that a Dispute has arisen must deliver to the other party a notice containing particulars of the Dispute (**Dispute Notice**).
- (b) During the period of 10 Business Days after delivery of the Dispute Notice, or any longer period agreed in writing by the parties to the Dispute (**Initial Period**), each of the parties will use its reasonable endeavours and act in good faith to resolve the Dispute by discussion and negotiation.
- (c) If the parties are unable to resolve the Dispute within the Initial Period, the parties will observe the procedure set out in Part 4 of the Code.
- (d) A party may not commence court proceedings in respect of a Dispute unless it has complied with this clause 38 and until the procedures in this clause 38 have been followed in full, except where the party seeks injunctive relief in relation to a Dispute from an appropriate court where failure to obtain such relief would cause irreparable damage to the party concerned or following those

procedures would mean that a limitation period for a cause of action relevant to the issues in dispute will expire.

39. Force majeure

Where any failure or delay by a party (**Affected Party**) in the performance of its obligations under this Agreement is caused, directly or indirectly, by a Force Majeure Event:

- (a) the Affected Party must within 14 days give the other parties written notice of that fact and details of the Force Majeure Event and the extent of the expected delay;
- (b) the Affected Party is not liable for that failure or delay;
- (c) the Affected Party's obligations under this Agreement are suspended, to the extent to which they are affected by the relevant Force Majeure Event, for the duration of the Force Majeure Event; and
- (d) if the Force Majeure Event continues for more than 180 consecutive days and while it continues, any party other than the Affected Party may, at its discretion, terminate this Agreement by giving written notice to the Affected Party and all other parties (if any).

40. General

40.1 Nature of obligations

- (a) Any provision in this Agreement which binds more than one person binds all of those persons jointly and each of them severally.
- (b) Each obligation imposed on a party by this Agreement in favour of another is a separate obligation.

40.2 Right to contract or subcontract out

Mail Plus may contract or sub-contract to any person any one or more of its obligations under this Agreement and ancillary documents.

40.3 Time of the essence

In this Agreement, time is of the essence unless otherwise stipulated.

40.4 Entire understanding

This Agreement contains the entire understanding between the parties concerning the subject matter of the Agreement and supersedes all prior communications between the parties.

40.5 No adverse construction

This Agreement is not to be construed to the disadvantage of a party because that party was responsible for its preparation.

40.6 Further assurances

A party, at its own expense and within a reasonable time of being requested by another party to do so, must do all things and execute all documents that are reasonably necessary to give full effect to this Agreement.

40.7 No waiver

- (a) A failure, delay, relaxation or indulgence by a party in exercising any power or right conferred on the party by this Agreement does not operate as a waiver of the power or right.
- (b) A single or partial exercise of the power or right does not preclude a further exercise of it or the exercise of any other power or right under this Agreement.
- (c) A waiver of a breach does not operate as a waiver of any other breach.

40.8 Severability

Any provision of this Agreement which is invalid in any jurisdiction must, in relation to that jurisdiction:

- (a) be read down to the minimum extent necessary to achieve its validity, if applicable; and
- (b) be severed from this Agreement in any other case,

without invalidating or affecting the remaining provisions of this Agreement or the validity of that provision in any other jurisdiction.

40.9 Successors and assigns

This Agreement binds and benefits the parties and their respective successors and permitted assigns.

40.10 Consents and approvals

Where anything depends on the consent of Mail Plus then, unless this Agreement provides otherwise, that consent may be given conditionally or unconditionally or withheld, in the discretion of Mail Plus.

40.11 No variation

This Agreement cannot be amended or varied except in writing signed by the parties.

40.12 Costs

Subject to regulation 19A and regulation 22 of the Code, the Franchisee must pay Mail Plus's reasonable legal costs of and incidental to the preparation, negotiation and completion of this Agreement and any other ancillary documentation related to the Franchised Business.

40.13 Duty

- (a) Any duty (including related interest or penalties) payable in respect of this Agreement or any instrument created in connection with it must be paid by the Franchisee.
- (b) The Franchisee undertakes to keep Mail Plus indemnified against all liability relating to the duty, fines and penalties.

40.14 Governing law and jurisdiction

- (a) This Agreement is governed by and must be construed in accordance with the laws in force in the Jurisdiction.
- (b) The parties submit to the exclusive jurisdiction of the courts of the State or Territory for the Jurisdiction and the Commonwealth of Australia in respect of all matters arising out of or relating to this Agreement, its performance or subject matter.

40.15 Notices

- (a) Any notice (**Notice**) to or by a party under this Agreement:
 - (i) must be given by personal service, by prepaid priority or express post, or, subject to this clause, by email;
 - (ii) must be in writing (and for the purposes of this clause, a Notice in the body of or attached to an email is in writing), legible and in English addressed (depending on the manner in which it is given) as specified below:

(A) if to Mail Plus:

Address: Suite 51, Level 45, 680 George Street, Sydney
NSW 2000 and (not or) GPO 856 Sydney NSW
2000

Attention: Chris Burgess / Michael McDaid

Email: Chris.Burgess@mailplus.com.au;
Michael.McDaid@mailplus.com.au

(B) if to the Franchisee, Guarantor or Manager then using the information set out in Schedule 1;

or as otherwise specified in any updated details last notified by the party to the sender by not less than 5 Business Days' Notice given in accordance with this clause (**Specified Contact Details**); and

- (iii) must be signed by the sender (if an individual) or by that party's authorised officer, agent or representative. A party receiving a Notice is not obliged to enquire as to the authority of the person signing the Notice. A Notice attached to an email in portable document format (.pdf) or another appropriate and commonly used format and signed by the sender in accordance with this clause complies with this

clause and in that case, the covering email need not be so signed.

- (b) Without limiting any other means by which the sender may be able to prove that it has given a Notice or that a Notice has been received by the recipient, a Notice given under this clause is taken to be given by the sender and received by the recipient (whether or not the recipient actually receives it):
 - (i) if delivered in person, when it is left at the recipient's address set out in the Specified Contact Details;
 - (ii) if posted to the recipient's address set out in the Specified Contact Details, at 9.00 am on the third (seventh, if sent to or from an address in another country) day after the date of posting; or
 - (iii) if sent by email, 4 hours after the time the email is sent to the recipient's email address set out in the Specified Contact Details, as recorded on the sender's email system, unless the sender receives, within that time period, an automatic notification (other than an out of office message) indicating that the email has not been delivered.
- (c) If any delivery or receipt would be deemed by this clause to be on a day that is not a Business Day or after 4.00 pm (recipient's time), it is deemed to have been received at 9.00 am (recipient's time) on the next Business Day.
- (d) If the party to which a Notice is to be given consists of more than 1 person, the Notice will be treated as given to that party if given to any of those persons.

40.16 Counterparts

- (e) This Agreement may be executed in any number of counterparts, each executed by one or more parties.
- (f) All counterparts, taken together, constitute one instrument.
- (g) A party may execute this Agreement by signing any counterpart. To the extent permitted by law, a counterpart may be executed electronically.
- (h) This Agreement is binding on the parties on exchange of counterparts. A copy of a counterpart that is electronically scanned and emailed to each other party or their authorised representative:
 - (i) must be treated as an original counterpart;
 - (ii) is sufficient evidence of the execution of the original; and
 - (iii) may be produced in evidence for all purposes in place of the original.

40.17 Electronic signatures

- (a) To the extent permitted by law, a party may sign this Agreement electronically, including by using software or a platform for the electronic execution of contracts.
- (b) A print out of the executed Agreement once all parties signing electronically have done so, will be an executed original counterpart of this Agreement, irrespective of which party prints it.
- (c) Each party that signs this Agreement electronically represents and warrants that it or anyone signing on its behalf:
 - (i) has been duly authorised to enter into and execute this Agreement electronically and to create obligations that are valid and binding obligations on the party;
 - (ii) has affixed their own electronic signature; and
 - (iii) where applicable, holds the position or title indicated under their electronic signature,and each party is estopped from asserting otherwise.
- (d) No person may challenge the validity of this Agreement by virtue only of the fact that it has been electronically signed by or on behalf of any party.

40.18 Conflicting provisions

If there is any conflict between the main body of this Agreement and any schedules or annexure comprising it, then the provisions of the main body of this Agreement prevail.

40.19 Non merger

A term or condition of, or act done in connection with, this Agreement does not operate as a merger of any of the rights or remedies of the parties under this Agreement and those rights and remedies continue unchanged.

40.20 Operation of indemnities

Unless this Agreement expressly provides otherwise each indemnity in this Agreement survives the expiry or termination of this Agreement.

40.21 Right of set-off

- (a) The Franchisee and/or Guarantors have no right of set-off against a payment due to the Mail Plus and have no cross-claim or counterclaim.
- (b) Mail Plus may set-off against a payment due to the Franchisee, Manager and/or Guarantors.

40.22 Relationship of parties

- (a) Unless this Agreement expressly provides otherwise, nothing in this Agreement may be construed as creating a relationship of employer and employee, partnership or of trustee and beneficiary.
- (b) The Franchisee must conduct the Franchised Business in its own name and advise persons with whom it deals that it is an independent franchisee.

40.23 Clauses surviving termination

Despite any other provision of this Agreement, this clause 40.23 and clauses 6.5, 7, 19 to 21, 22, 23, 26.8, 30 to 35 and 38 survive the expiry or termination of this Agreement.

41. Special conditions

Any special conditions in Item 23 override the body of this Agreement to the extent of any inconsistency with this Agreement.

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Schedule: Franchised Business details

Description	Content
1. Franchisee	Parveen Pty Ltd ACN 661 486 778 of 3 Wilfred Avenue, Campsie, NSW, 2194 Email: justin.haider9@icloud.com
2. Guarantors	Justin Haider of 3 Wilfred Avenue, Campsie, NSW, 2194 Email: justin.haider9@icloud.com
3. Manager	Justin Haider of 3 Wilfred Avenue, Campsie, NSW, 2194 Email: justin.haider9@icloud.com
4. Business Name	Mail Plus - Homebush
5. Territory	The Territory which is set out in the territory maps at Annexure A
6. Premises	3 Wilfred Avenue, Campsie, NSW, 2194
7. Term	The period beginning on the Commencement Date and ending on the Expiry Date
8. Commencement Date	1 September 2023
9. Expiry Date	1 September 2028
10. Renewal Term	An unlimited number of further terms each with a 5 years duration
11. Deposit	\$5,000
12. Initial Franchise Fee	Not Applicable
13. Franchise Service Fee Marketing Levy	25% of Turnover 5% of Turnover
14. Hourly Rates	At the date of this Agreement the Hourly Rates are: \$100.00 per hour plus GST for directors \$50.00 - \$75.00 per hour plus GST for employees, contractors or agents; payable on the 14th day from the date of the invoice. Mail Plus may alter these rates from time to time in its discretion by giving the Franchisee written notice of a change to the Hourly Rates.
15. Training Fee	\$3,000

16. Transfer Fee	\$3,000
17. Renewal Fee	Nil (the administrative costs of \$2,500 must be paid on each renewal)
18. Default Interest Rate	13.5% per annum
19. Permitted Securities	Nil
20. Jurisdiction	New South Wales
21. Insurance Requirements	(a) insurance for the full replacement value of the Business Assets, property and equipment owned or leased by the Franchisee, used in the Franchised Business or kept in the Vehicle; (b) the insurance set out in (a) should cover loss or damage caused by explosion, fire, flood, lightning, storm, tempest, earthquake, fusion, accidental damage and other risks against which a prudent person would commonly obtain insurance for; (c) insurance for public liability for the Franchised Business and the Vehicle, covering claims for liability for death, injury, illness, loss to property or persons, product liability, contract and legal liability for the Franchisee, its Associates, contractors and employees with the insurance covering each single accident or event for at least 10 million dollars; (d) workers' compensation insurance for all employees, workers or contractors to the Franchised Business as required by Law; (e) comprehensive motor vehicle insurance and public liability insurance in connection with all Vehicles owned, leased or used by the Franchisee, its Associates, the Manager, contractors or employees in the Franchised Business; and (f) product liability insurance in connection with the supply of Approved Goods and/or Services by or for the Franchised Business, with the product liability insurance covering each single accident or event for at least 10 million dollars; and (g) money in trust or custody for an amount equivalent to the money in trust or custody which the Franchisee will handle in the provision of Approved Goods and Services plus GST. (h) insurance for the Franchisee, its Associates, its Manager covering sickness, accident, critical illness, death and permanent disability of the Franchisee and its Associates and loss of profit.
22. Franchise Package	Stationery Business cards Key tags and chain
23. Special Conditions	1. The first sentence in clause 25.1(c) is deleted. This sentence is no longer relevant to the Agreement as the Franchisee is permitted to

	renew the Agreement for an unlimited number of further terms in accordance with this Agreement.
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Executed as an agreement

Executed by Mail Plus Pty Ltd ACN 609 801 194 in accordance with section 127(1) of the *Corporations Act 2001 (Cth)*:

DocuSigned by:



77B184B9B128433...
Signature of sole director - Chris Burgess

The signatory confirms that their signature appearing above is their personal signature affixed by electronic means and authenticates this document or any counterpart signed by the signatory.

Franchisee

Executed by Parveen Pty Ltd ACN 611 486 778 in accordance with section 127(1) of the *Corporations Act 2001 (Cth)*:

DocuSigned by:



F4983A3D97E745A...
Signature of sole director and sole company secretary

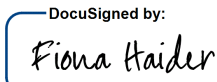
Justin Haider

Name (please print)

Guarantor

Signed by Justin Haider in the presence of:

DocuSigned by:

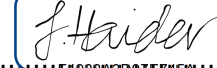


A6AFF075A0664F0...
Signature of witness

Fiona Haider

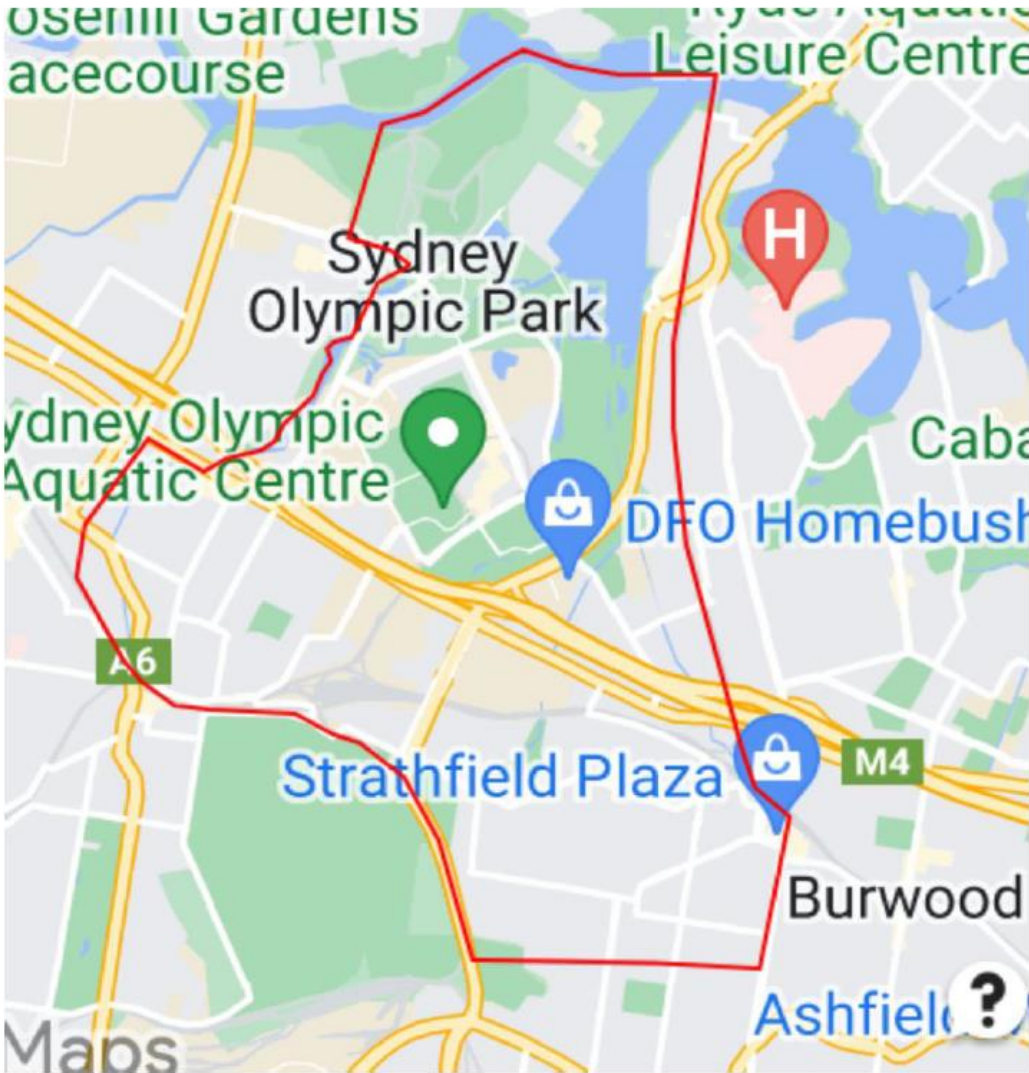
Name of witness
(please print)

DocuSigned by:



F4983A3D97E745A...
Signature - Justin Haider

Annexure A: Territory Map



Franchisee Advice Statement

To: Mail Plus Pty Ltd ACN 609 801 194 of Suite 51, Level 45 680 George Street, Sydney NSW 2000 (**Mail Plus**)

We, **Parveen Pty Ltd ACN 611 486 778** and **Justin Haider** both of 3 Wilfred Avenue, Campsie, NSW, 2194 state and certify that:

1. we have received the documents that Mail Plus are required to give to us under the Franchising Code of Conduct (**Code**);
2. we have received, read, and had a reasonable opportunity to understand the disclosure document (including a copy of the franchise agreement in the form in which it is to be executed) and a copy of the Code at least 14 days before entering into the franchise agreement;
3. we have been told by Mail Plus that we should seek advice about the proposed franchise agreement or franchised business from:
 - (a) an independent legal adviser;
 - (b) an independent business adviser; and
 - (c) an independent accountant,and
☒ we have been given that kind of advice about the proposed franchise agreement or franchised business;
or
☐ we have been told that that kind of advice should be sought but have decided not to seek it.

(please tick one of the above boxes, whichever applies to you)

Executed as a deed

Franchisee

Executed by Parveen Pty Ltd ACN 611 486 778 in accordance with section 127(1) of the *Corporations Act 2001 (Cth)*:

DocuSigned by:


F4983A3D97E745A.....

Signature of sole director and sole company secretary

Justin Haider

.....
Name (please print)

Guarantor

Signed Sealed and Delivered by Justin Haider in the presence of:

DocuSigned by:

Fiona Haider

AGAF075A9564P8...

Signature of witness

Fiona Haider

Name of witness
(please print)

3 Wilfred Ave, Campsie

Address of witness
(please print)

DocuSigned by:

J. Haider

F4983A3D97E745A...

Signature - Justin Haider